

AN ELEMENTARY TREATISE ON
BUSINESS

* * *

SUMMARY

Every business combines four factors of production. Land, the natural resources, earns rent. Labour, the work of people, earns wages. Capital, the goods and money that people have made, earns interest. Enterprise, which organises the others and carries the risk, earns profit. Division of labour splits a job into small tasks, with gains and costs. At the shop in 2025, rent was Tk 720,000, wages were Tk 2,940,000, capital was Tk 4,100,000, and profit was Tk 750,000.

THINK IT THROUGH

A small workshop sews covers for books. It receives more orders than its two workers can finish. The owner can buy a sewing machine, which one person can operate, or can hire three more workers who sew by hand. Use the four factors to reason about the choice.

2.T1 Which factor is the machine, and which factor are the three workers? Name the reward paid in each choice.

2.T2 Both choices commit the owner to payments agreed in advance. Who carries the risk that orders may fall, and which factor does that person supply?

2.T3 Suppose the owner would also operate the machine personally. Which two factors does the owner then supply?

WHERE PEOPLE GO WRONG

Capital means money only. This is incomplete. Capital means man-made goods and money used to produce other goods, so shelves, ovens and stock are capital too.

Land means farmland. This is too narrow. Land includes ground, water, minerals and forests, wherever a business uses them.

The owner's reward is wages. Wages reward work, which is labour. Profit rewards organising and accepting risk, which is enterprise. One person can earn both, but the two rewards are different.

Division of labour means sharing all tasks equally. It means the opposite: each worker repeats one small task. It also has costs, such as dull work and dependence.

IN HISTORY

Henry Ford (1863 to 1947) was an American manufacturer who built the Model T car at the Ford Motor Company, first sold in 1908. In 1913, at the Highland Park factory in Michigan, United States, the company introduced moving assembly lines. Before then, a car stayed in one place while workers brought parts to it. On the moving lines, the work travelled past each worker, who repeated

AN ELEMENTARY TREATISE ON BUSINESS



*Being a First Course in the Forms, Duties and
Dealings of Commerce*

T. TIR, A. NILL

*Four factors earn four
rewards, and each has its
own kind of risk.*

*A workshop owner must
choose between one machine
and three more workers.*

*Capital is not only money; it
also includes made goods
such as tools and stock.*

*Land is not only farmland; it
includes all natural
resources.*

*An owner's reward is not
wages unless the owner also
works.*

*Division of labour is about
small repeated tasks, not
equal sharing of tasks.*

*In 1913 Henry Ford's factory
combined labour, capital and
division of labour on a
moving line.*

*A Most Extraordinary Case of Complete
Romantic Deficiency — RU, MGT 30 Batch ·
Atwif Taiyeba Parsha*

*Section 2.3 ends with a recap
and a sentence the reader can
test.*

*No business can produce with
one factor alone, so the
question is how to mix them.*

*The mix of factors differs
between businesses, and no
single mix suits all.*

THE FOUR FACTORS AT MEGHNA AND SONS, 2025

FACTOR	AT THE SHOP IN 2025	REWARD
Land	Rented shop space, 900 square feet	Rent: Tk 720,000
Labour	7 staff	Wages: Tk 2,940,000
Capital	Stock Tk 3,500,000 plus fittings Tk 600,000; total Tk 4,100,000	Interest: no separate figure in the case file
Enterprise	Nurul Meghna, the owner	Profit: Tk 750,000

PAUSE AND CHECK 2.P2 Which of the four rewards in the table is not agreed in advance, and why does that matter to the person who receives it?

Before moving on. Capital is man-made goods and money used to produce other goods, and its reward is interest. Enterprise is the act of organising the other factors and accepting the risk of loss, and its reward is profit. Rent, wages and interest are agreed in advance, but profit is not. You should now be able to name all four factors and the reward each earns.

2.4 HOW THE FACTORS COMBINE

Start with a question. Could a bookshop operate with land alone? An empty room sells nothing. Could it operate with labour alone, staff with no books and no room? Again it sells nothing. Every business needs all four factors together, as a cook needs ingredients, a stove, skill and the decision to cook. The figure below shows the pattern. Read it from left to right: each factor on the left earns the reward on the right.

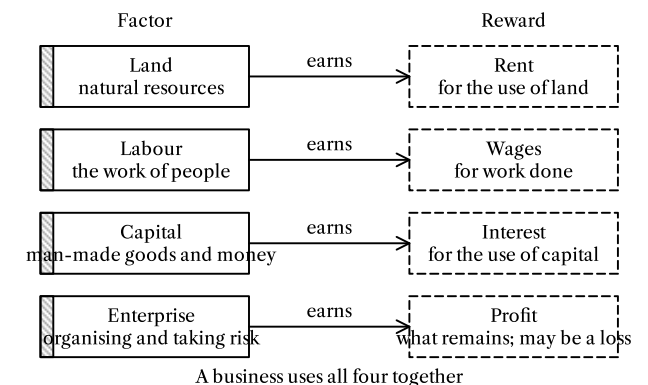


FIG. 2.1. *Four factors of production and the reward each earns*

The proportions differ from one business to another.² A brickworks relies heavily on land, because it digs clay, and on capital such as kilns. A bookshop relies on stock, which is capital, and on

² Recall: branches of business, Chapter 1, 'What Business Is', section 1.3 'Branches of Business'.

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At the shop, seven staff received wages of Tk 2,940,000 in 2025.

If an owner also serves customers, the question arises whether that work is labour.

GO SLOWLY HERE.

Splitting a job into small tasks can help workers make more.

Dividing the tasks removes the lost time and raises the output.

This method has a name: division of labour.

Division of labour. Splitting a job into small tasks so that each worker repeats one task and becomes faster.

Adam Smith described the gain in 1776, using a pin factory.

Division of labour also has costs, and it works best where the market is large.

Section 2.2 ends with a recap and a sentence the reader can test.

A kettle and a plan show the last two factors.

Case file, illustrative. In 2025 the factor labour at Meghna and Sons was its 7 staff. The total wages for the year were Tk 2,940,000. Wages are therefore the reward of labour in this case file.

A question is waiting here. Suppose an owner stands at the desk all day, serving customers. Is that work labour, or is it something else? Section 2.3 answers this. For now, keep the question in mind, and notice that the answer must separate two different things that one person can do.

Now meet an idea that changes how labour is used. Imagine two workers who make paper bags for the shop. Each bag needs two tasks, folding and gluing, and each task takes one minute. A worker who does both tasks alone loses half a minute each time the worker changes tools, so every bag takes three minutes. In one hour, one worker makes $60 \div 3 = 20$ bags, and two workers make 40.

Now let one worker only fold and the other only glue. Nobody changes tools. After the first minute, which the folder spends alone, a finished bag appears every minute. In one hour the two workers make close to 60 bags, instead of 40. The same two people, working for the same hour, make one and a half times as many.

The method is called **division of labour**. Division of labour means splitting a job into small tasks so that each worker repeats one task and becomes faster. The bag example shows two gains: no time is lost in changing tools, and skill grows from repeating one task. Machines add a third gain, because a machine can be built for one small task.

The Scottish thinker Adam Smith (1723 to 1790) described this idea in 1776, in his book *The Wealth of Nations*. He wrote about a small pin factory where about eighteen operations were shared among ten workers. He reported that the ten, working together, made upwards of 48,000 pins in a day, and that one worker alone could hardly make twenty. His point has lasted: when work is divided well, labour produces more.

The method has limits. Repeating one task all day can become dull, and a dull task can lead to mistakes. Workers depend on each other, so one absence can slow the whole line. The method also needs a large market, because dividing the work only pays when the business can sell all the extra output. A small shop with a few customers a day gains little from it.

Before moving on. Labour is the physical and mental work people give to a business, and its reward is wages. Division of labour splits a job into small tasks so that each worker repeats one task. It raises output, but it can make work dull and workers dependent on each other. You should now be able to say what labour is, what it earns, and why dividing tasks can raise output.

2.3 CAPITAL AND ENTERPRISE

Return to the tea stall. The seller has a spot and the seller's own work, but still cannot sell tea without a kettle, a stove, cups and a

TO THE READER

This book is written for readers who are meeting the subject for the first time. It assumes no earlier knowledge. Every new word is explained when it first appears, and the book moves slowly wherever an idea is new or difficult.

Beside most paragraphs you will find a note in the narrow column at the edge of the page. A note in italics gives the main point of the paragraph in one line. Read these notes first to see the shape of a chapter, and again when you review.

A word in **bold type** is a new term. It is shown in bold once, where it is first explained, and its meaning is repeated in the narrow column. After that the word appears in ordinary type. Italics are used for emphasis, for foreign words and for the titles of books.¹

Where an everyday word has a special meaning here, a note marked "Word in use" says so. Where an idea is both new and hard, a note reads "Go slowly here", and the text slows down with it.

HOW A CHAPTER RUNS

A chapter opens with a puzzle, then builds its ideas one section at a time. Each section ends with a short recap. The chapter closes with a summary, a problem to think through, the common mistakes people make, a true account from history, and review questions. Questions are numbered, such as 7.1, and their answers are collected at the back of the book.

When a chapter points to another part of the book, it names the chapter and the section, for example Chapter 3, section 3.2. Use the Contents to find it. At the back you will find a glossary of every term, the answers to the questions, a list of further reading, and an index.

This book teaches An Elementary Treatise on Business one idea at a time, from the very beginning.

The narrow column beside the text holds short notes.

Key term. A new word, shown in bold where it first appears, with its meaning in one line.

A bold word is a new term, and its meaning waits beside it.

Some everyday words have a second, special meaning in this subject.

Each chapter has the same shape, so you always know where you are.

Chapters refer to one another by name, never by page.

YOU WILL NEED

From Chapter 1, 'What Business Is', section 1.1 'Why People Do Business', you need the meaning of business and trade. From the same chapter, section 1.3 'Branches of Business', you need the idea that businesses belong to different branches. Nothing else is assumed.

One book sold in two minutes depends on many things that existed before the customer arrived.

The customer's payment is shared among everyone who helped make the sale possible.

Economists sort what every business needs into four kinds, each with its own payment.

A tea stall shows, on a small scale, what a seller needs before selling anything.

GO SLOWLY HERE.

Each kind of resource a business uses is called a factor of production.

Factor of production. A resource used to make goods or provide services; economists name four: land

A customer walks into Meghna and Sons, a bookshop in Dhanmondi, Dhaka, and chooses a novel. She pays at the desk and leaves with the book in a paper bag. The sale takes two minutes. Yet before those two minutes could begin, many things had to exist. A room had to be found. Shelves had to be built. Books had to be bought and carried to the shop. Someone had to find the book and take the payment. Someone had to decide that all this effort was worth making.

When the customer pays, the money does not stay in one place. Part of it pays the landlord, the person who owns the room and lets it to the shop. Part of it pays the staff. If the year goes well, a part remains for Nurul Meghna, the owner, who opened the shop on 4 April 1996. Here is the question hidden in this scene: why does each person receive a share, and why is each share a different kind of payment?

Economists study how people use limited resources. They noticed that, whatever a business sells, the things it needs fall into four kinds. A bookshop, a brickworks and a bank all need the same four. Each kind earns its own kind of payment. This chapter names the four kinds, one at a time, and shows what each earns. We shall go slowly, because these words return in almost every later chapter.

* * *

2.1 LAND AND NATURAL RESOURCES

Begin with something smaller than a bookshop: a tea stall on a street corner, where selling tea is a small act of trade.¹ To sell one cup, the seller needs a spot where customers can stand. The seller needs water, tea leaves and sugar, which come from rivers, fields and farms. The seller needs a kettle and a stove. The seller needs the work of making and serving each cup. The seller also needs a plan, and the courage to risk money on it. These needs are of different kinds, and the kinds have names.

Economists call each kind of resource a **factor of production**. A factor of production is a resource used to make goods or provide services. The tea stall uses several: a spot to stand, the seller's work, a kettle, and the decision to open. The word *factor* means a contributing part, as in "one factor in a success". Economists name four factors: land, labour, capital and enterprise. This section teaches the first. (The next two sections teach the others.)

¹ Recall: business and trade, Chapter 1, 'What Business Is', section 1.1 'Why People Do Business'.

¹ A footnote gives a side point that would interrupt the main argument. Footnotes are numbered within each chapter and appear at the foot of the page.

Mistake five: thinking a service is not real business.

In 1759 Josiah Wedgwood began his own pottery works, a manufacturing business.

In 1769 he opened a larger works named Etruria, with a village for its workers.

Some students believe that only things that can be held are real business. A teacher or a bank clerk provides a service, and a service is a full branch of business.

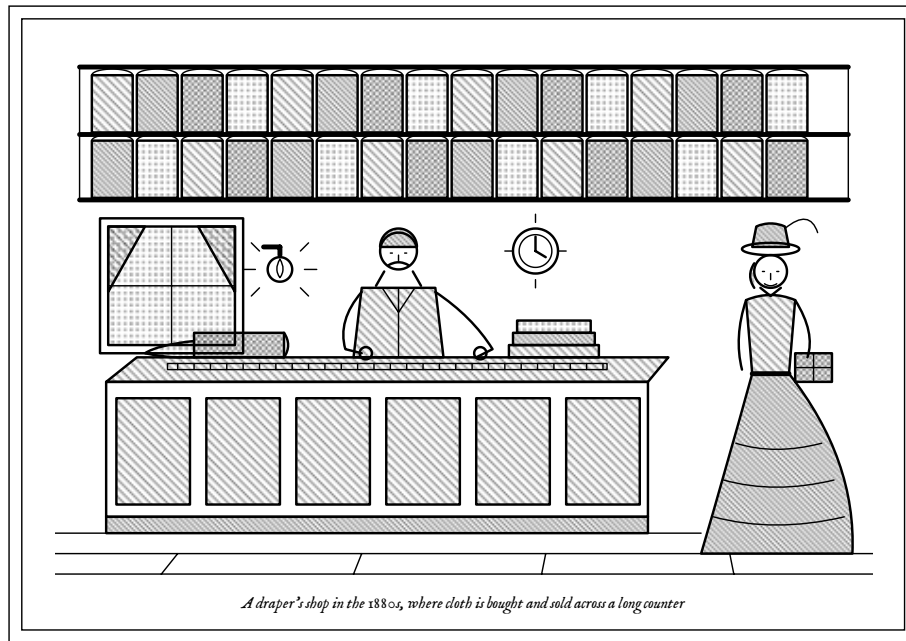
IN HISTORY

Josiah Wedgwood was born in 1730 in Burslem, a pottery town in Staffordshire, a county in central England. In 1759 he began his own pottery works in Burslem. This was manufacturing industry. Wedgwood and his workers turned clay into plates, cups and ornaments, and then sold them to customers for money, aiming at profit. Each part of the definition in this chapter can be found in his work.

In 1769 Wedgwood opened a new and larger works in Staffordshire, which he named Etruria, working in partnership with Thomas Bentley, a merchant from Liverpool, a port city in north-west England.³ A merchant is a person who buys and sells goods in trade. The works included a village where workers and their families could live. The name Wedgwood is still used on pottery today.

REVIEW QUESTIONS

- 1.1 In the case file, name the group (trade, commerce or industry) that best describes Meghna and Sons, and name the three aids to trade that the shop used.
 - 1.2 Classify each activity as industry, trade or an aid to trade, and say which of them belong to commerce: (a) a farmer growing jute; (b) a stall selling bananas; (c) a courier carrying parcels for a bookshop; (d) a bakery baking bread; (e) a bank lending money to a shop.
 - 1.3 Suppose, as a what-if only, that Meghna and Sons began to print its own notebooks in a workroom behind the shop. Which new branch would it enter, and would it still be in trade?
 - 1.4 Give one example of a good and one example of a service that are not in this chapter, and explain the difference between the two.
 - 1.5 A vegetable stall in a market buys from farmers each morning. List the aids to trade the stall is likely to use, and say which difficulty each one removes.
 - 1.6 A stationery stall buys 50 notebooks at Tk 20 each and sells all 50 at Tk 25 each. It also pays Tk 100 to carry the notebooks to the stall. Find the profit, showing each step.
 - 1.7 Follow a cotton shirt from field to customer. Name each stage, state its branch of business, and name two aids to trade used along the way.
 - 1.8 Name four characteristics of business, and explain why risk is
- ³ Wedgwood named the works after Etruria, an ancient region of Italy, because he believed the ancient vases he admired were Etruscan. Historians say that belief was mistaken.



CHAPTER I

What Business Is

Who made the shirt you are wearing, and why did they sell it to you?



This chapter explains in plain words what a business is and why people establish one. It shows how business work divides into trade, commerce and industry, and into four main branches. It follows one bookshop in Dhaka, Meghna and Sons, as a case file. It also teaches you how to read this book and its special words.

everyone in a country accepts as payment. With money, the farmer sells rice to anyone who wants it. She then buys fish from anyone who sells fish. The number of possible exchanges grows greatly.

As exchanges grow, some people give all their working time to supplying things to others. One person grows rice only to sell it. Another weaves cloth only to sell it. A third teaches children and receives fees. For these people, exchange is no longer an occasional swap. It is their daily occupation, and their income depends on it.

Before we name this occupation, three words need plain meanings. Goods are physical things that a person can touch and keep, such as rice, a shirt or a book. A service is work done for someone, such as teaching or cutting hair; the person receives the work, not a thing to keep. Section 1.3, 'Branches of Business', defines service fully. A customer is a person or organisation that pays for goods or services. People also say buyer or client; this book uses the word customer.

The occupation has a name. **Business** means an activity that provides goods or services to others in exchange for money, aiming to earn a profit. A shop that sells exercise books to schoolchildren is a business. A family that grows rice only to eat is not, because it provides nothing to others in exchange for money. People also say enterprise, firm or concern; this book uses the word business. The word profit is explained in a few paragraphs.

DEFINITION

Business: an activity that provides goods or services to others in exchange for money, aiming to earn a profit.

Read the definition in parts. First, an activity: regular work, not one act. Second, goods or services: something is provided. Third, to others in exchange for money: the buyer pays. Fourth, aiming to earn a profit: the intention matters. A business that fails to earn a profit is still a business, because it aimed at one. A charity that gives its goods away free is not, because it asks for no money.

PAUSE AND CHECK 1.P1 A neighbour cooks lunch every day for her own family. A café cooks lunch every day for strangers and takes payment. Which of the two matches the definition of business, and which part of the definition decides it?

Why does anyone establish a business? The main reason is **profit**. Profit is what remains of a business's income after all its costs have been paid. Income is the money a business receives from its customers. Costs are the money it pays out in order to operate, for example for goods bought from suppliers, for rent and for wages. A supplier is a business that sells goods to another business. People also say vendor; this book uses supplier.

Take the smallest example we can. A fruit seller buys 10 mangoes from a supplier at Tk 20 each. Her cost is $10 \times \text{Tk } 20 = \text{Tk } 200$. She

Some people give all their working time to supplying others, and this is the start of business.

Goods are physical things, a service is work done for someone, and a customer pays for either.

Goods. Word in use. In daily life, "good" describes quality, as in a good meal. In business, goods are physical things that are bought and sold.

Business is an activity that provides goods or services to others for money, aiming to earn a profit.

Business. An activity that provides goods or services to others in exchange for money, aiming to earn a profit.

The definition has four parts, and a failed business still fits it.

Profit is income less all costs, and a loss is the reverse.

Profit. What remains of a business's income after all its costs have been paid.

Profit. Word in use. In daily life, profit can mean any benefit, as in "she profited from the advice". In business, it means money only: income less costs.

A fruit seller shows profit with the smallest numbers.

1.4 SCOPE AND CHARACTERISTICS OF BUSINESS

The scope of business is the full range of activities that it covers. From sections 1.2 and 1.3, that range is industry in three forms (extractive, manufacturing and construction), trade, the aids to trade and other services.

The characteristics of business are the features that nearly all businesses share. First, business involves exchange for money. Second, it is regular: one sale by a person who does not normally sell is not a business. Third, it aims at profit. Fourth, it carries risk, because profit is not certain and a loss is possible. Fifth, it exists to satisfy customers' needs, because customers pay only for what they need or want.

A good businessperson shows five qualities. Honesty, because customers return to those they trust. Knowledge of the goods or services sold. Judgement of risk, which means accepting risks that can be reasoned about and avoiding those that cannot. Steady work, because a business needs attention every day. Skill in dealing with people, including customers, suppliers and staff.

Before moving on. Scope is the range of activities that business covers. Business is regular, aims at profit, carries risk and serves customers' needs, all in exchange for money. You should now be able to name the characteristics of business and the qualities of a good businessperson.

* * *

WORKED CASE: CLASSIFYING MEGHNA AND SONS

A worked case applies ideas to a situation. It is not a model answer to a question; it shows how to reason, one step at a time. We use the case file of the bookshop.

Case file, illustrative. Situation: Meghna and Sons buys new books and stationery from publishers and sells them to schoolchildren, families and libraries. In 2025 its sales were Tk 14,400,000 and its purchases were Tk 9,800,000. It used a bank, a courier and insurance, and the insurance of its stock cost Tk 36,000 a year. The shop manufactures nothing.

Question. Is the shop in trade, commerce or industry? Which branch does it belong to? What does the gap between sales and purchases show?

Reasoning. Step one. We ask what the shop does with goods. It buys books and stationery from publishers and sells them without changing them. Industry produces or changes goods, and the shop does neither. Trade is the buying and selling of goods for a gain from the difference in price, and the shop does exactly that. The shop is in trade.

Step two. We measure the gain from the difference in price. Sales less purchases is Tk 14,400,000 - Tk 9,800,000 = Tk 4,600,000. This is not yet the profit, because rent, wages and other

The scope of business is the full range of activities it covers.

Business has five common features: money, regular dealing, profit, risk and customers' needs.

A good businessperson combines honesty, knowledge, judgement of risk, steady work and skill with people.

Recap: scope, five characteristics and five qualities.

A worked case applies the chapter's ideas step by step to one situation.

The situation: what the shop does, what it spends and which services it uses.

The question has three parts: the group, the branch and the gap between selling and buying.

Step one: the shop buys and sells goods without changing them, so it is in trade.

Step two: sales less purchases is Tk 4,600,000, and rent, wages and other costs reduce

We begin with the one nearest to your own experience, which is buying and selling.

Trade is the buying and selling of goods, carried out to earn a gain from the difference in price. A trader buys notebooks from a maker at Tk 40 each and sells them at Tk 50 each. The difference of Tk 10 on each notebook is the trader's gain, before any costs are paid. A trader does not make the notebook. The trader brings it from the person who made it to the person who wants it.

Trade does not work alone. The trader's notebooks must be carried, stored, paid for, protected and made known to customers. The services that help trade in this way are called aids to trade. The next table shows the five main aids. Read each row from left to right: the aid, its work, and the difficulty it removes.

FIVE AIDS TO TRADE AND THE DIFFICULTY EACH REMOVES

AID TO TRADE	WHAT IT DOES	DIFFICULTY IT REMOVES
Transport	Carries goods from one place to another	Distance between maker and customer
Warehousing	Stores goods until they are wanted	Time between making and buying
Banking	Holds money, moves payments and lends	Shortage or risky handling of money
Insurance	Pays the owner if goods are lost or damaged	Risk of loss by fire, theft or accident
Advertising	Tells customers what is for sale	Customers not knowing what exists

Goods begin with a producer, a person or business that makes or grows them. Put trade and its aids together and you have commerce. **Commerce** is trade together with the services that help goods move from producer to customer, such as transport and banking. The notebook trader, the lorry that carries the notebooks and the bank that holds the trader's money all belong to commerce. Notice that trade is part of commerce, not a rival to it.

The third word is industry. **Industry** is the branch of business that produces or changes goods, from raw material to finished product. A raw material is a natural material before any work is done on it, such as cotton, clay or timber. The cotton farmer, the mill that spins the cotton and the factory that sews shirts are all in industry. The maker of a notebook is in industry. The trader who sells it is in trade.

The next table compares the three words. Each row follows one word. Read across to see what the word covers and who in the schoolbook story belongs to it.

INDUSTRY, TRADE AND COMMERCE COMPARED

WORD	WHAT IT COVERS	WHO BELONGS TO IT IN THE SCHOOLBOOK STORY
Industry	Producing or changing goods	The tree cutter, the paper maker and the printer
Trade	Buying and selling	The shop that buys books and sells

Trade is buying and selling goods to earn a gain from the difference in price.

Trade. The buying and selling of goods, carried out to earn a gain from the difference in price.

Five services help trade; they are called aids to trade, and each removes one difficulty.

Commerce is trade together with its aids.

Commerce. Trade together with the services that help goods move from producer to customer, such as transport and banking.

Industry produces or changes goods.

Industry. The branch of business that produces or changes goods, from raw material to finished product.

A table compares the three words using the schoolbook.

The groups overlap, because one business can perform more than one kind of work.

Recap: industry produces, trade buys and sells, and commerce adds the aids to trade.

A puzzle: four workers do very different work, yet all four belong to business.

Business divides into four main branches, shown as a tree.

The groups are tidy in an example but untidy in life. A baker mixes and bakes bread, which is industry, and sells it from the same counter, which is trade. One business can therefore belong to two groups. We then ask what the main activity is, and we classify the business by that answer. Notice also the shape of the sorting: commerce contains trade, so the three words are not three equal boxes.

PAUSE AND CHECK 1.P2 A courier firm carries parcels for shops. Is it industry, trade or an aid to trade? Give your reason in one sentence.

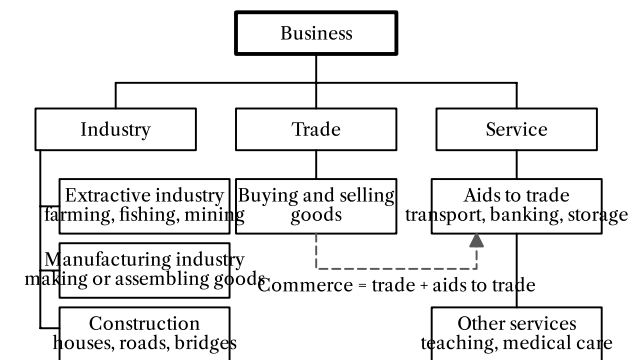
Before moving on. Industry produces or changes goods. Trade buys and sells them. Aids to trade, such as transport, warehousing, banking, insurance and advertising, remove difficulties that stand between producer and customer. Commerce is trade together with its aids. You should now be able to say which of industry, trade or an aid to trade describes a given activity, and to give the reason.

* * *

1.3 BRANCHES OF BUSINESS

Consider four people on one morning. A fisher pulls a net from a river. A potter shapes a clay pot. A builder lays bricks for a school wall. A teacher explains fractions to a class. All four work, and all four are paid. Yet their work is not the same. How shall we sort it?

Business people sort it into four main branches: extractive industry, manufacturing industry, construction and service. The figure below draws them as a tree. To read it, start at the top, where the whole of business stands, and follow the lines downward. Each lower box is a smaller kind of business. The dashed line near the bottom shows where commerce fits, a point we return to at the end of this section.

FIG. 1.2. *The branches of business drawn as a tree*

The first branch starts nearest to nature. **Extractive industry** is business that takes natural materials out of the earth, sea or land,

Extractive industry takes natural materials from the earth, sea or land.

Why is profit the first economic objective? The reason is survival. **Survival** is a business's ability to keep operating by covering its costs year after year. Take the smallest example. A stall receives Tk 1,000 a month and pays costs of Tk 1,100 a month. It loses Tk 100 each month. If the owner holds Tk 300 in savings, the savings last 3 months, and then the stall must close. A stall that earns a profit has the opposite experience. Each month leaves money in hand for repairs, for a bad month and for the owner's reward.

Here is the rule. Profit is the owner's reward, but before that it is the sign of survival. A business that covers its costs this year and next year is able to continue. A business that does not is slowly spending the money it started with.

PAUSE AND CHECK 3.P1 A stall receives Tk 2,000 a month and pays costs of Tk 2,250 a month. The owner holds savings of Tk 1,000. If nothing changes, after how many months are the savings used up?

Owners ask a second question: is the profit large enough for the money I put in? Capital is the money and equipment that the owner puts into the business; Chapter 2 teaches it fully. The measure is called return on capital. In words, return on capital equals profit divided by capital, multiplied by 100. In symbols, $R = P \div C \times 100$, where R is the return as a percentage, P is the profit for a year and C is the capital. With the smallest numbers, a profit of Tk 100 on capital of Tk 1,000 gives $100 \div 1,000 \times 100 = 10\%$. Each Tk 100 of capital earned Tk 10 of profit. The worked case at the end of this chapter applies the formula to the shop.

Growth is the second aim of this kind. Growth means an increase in the size of a business, measured by sales, customers, staff or number of shops. A business grows in order to serve more customers, to compete with larger rivals and to earn a larger profit. The shop's second aim is a growth aim. It plans to supply 12 schools' libraries, which is three times the 4 schools of 2025, and the sales to those libraries can be measured in money.

Growth has limits, and fast growth can threaten survival. A business that grows must usually buy stock or hire staff before the new customers have paid. It then needs enough money to wait. A larger business that cannot pay its bills fails, while a smaller business that pays them survives. Section 3.3 returns to this point under the heading of sound finance.

Different people see these aims differently. The owner looks first at profit and return on capital. A manager, who directs the daily work, looks at sales and market share, which the manager can influence. An employee, who is paid to work for the business, looks at whether the business will last long enough to keep the job.

Before moving on. An objective is a clear aim with an amount and a time. An economic objective is an aim measured in money. Profit is the first such aim because it makes survival possible, and return on capital tests whether the profit is large enough for the money invested. Growth increases the size of a business but needs money to support it. You should now be able to say why a business needs profit even when it has other aims.

* * *

Survival is the ability to keep operating by covering costs year after year, and profit makes it possible.

Survival. A business's ability to keep operating by covering its costs year after year.

GO SLOWLY HERE.

The rule: profit is the owner's reward and, first, the sign of survival.

Return on capital compares a year's profit with the money invested, as a percentage.

Recall: capital and enterprise, Chapter 2, 'Factors of Production', section 2.3 'Capital and Enterprise'.

GO SLOWLY HERE.

Growth means becoming larger; it serves more customers but needs money to support it.

Fast growth is dangerous when a business grows faster than its money allows.

Owner, manager and employee look at these aims differently.

Recap: objective, economic objective, survival, return on capital and growth.

Two earlier ideas are needed before this chapter.

A shop owner must choose between a legal profit and a harmful one.

The law does not answer every question about right and wrong in trade.

A person belongs to many groups at once, and each group expects something.

Social responsibility is a duty to benefit society and not only the owners.

Social responsibility. A business's duty to act in ways that benefit society as well as its owners.

Responsibility. Word in use. In daily life, a task given to you, or a duty to care for someone. In business, a duty that a business owes to a person or group its actions affect.

Social responsibility is the way social aims turn into action.

A business owes duties because it depends on society.

You will need two earlier ideas. The first is the set of social aims a business may hold: see Chapter 3, 'Objectives of Business and What Makes It Succeed', section 3.2 'Social and Human Objectives'. The second is the outside forces that act on a business: see Chapter 5, 'The Business Environment', section 5.2 'Outside the Business'.

Imagine the owner of a small shop that sells medicine. A supplier offers him a cheaper brand of cough syrup. The syrup costs half as much as the usual brand, and the owner could double his profit by selling it at the same price. Then he learns that the cheaper syrup has not been tested for safety. No law in his town forbids selling it. No inspector will visit this year. No customer will ever know. Should he sell it?

Most people answer quickly that he should not. Yet the answer reveals something important. The law did not stop him, and the market did not stop him, but his conscience did. A business meets many such moments. The law sets a minimum, and above that minimum there is a wide space where the owner chooses. This chapter studies how a business should choose in that space: what it owes to its neighbours, to its suppliers, to the people who lend it money and to its staff. It follows one documented case, a bookshop in Dhaka, and it ends with a real decision made in 1982.

6.1 THE IDEA OF SOCIAL RESPONSIBILITY

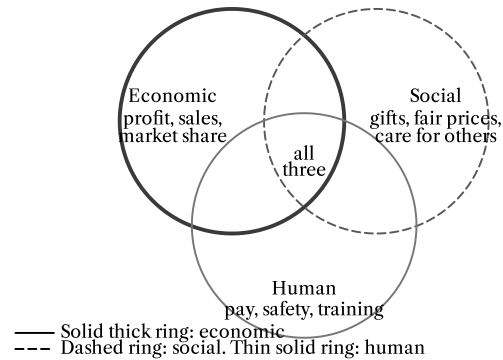
Think first of one person in daily life. She is a daughter, a neighbour, a colleague and a member of a community. Each role brings duties. She is expected to care for her parents, to keep the street clean and to do her share of work. No one may punish her for failing at some of these duties, but a person who ignores all of them loses the respect of others. A business is in a similar position, though it has more power than most people.

Social responsibility is a business's duty to act in ways that benefit society as well as its owners. Here *society* means all the people who live in the places where the business works and who feel its effects. For example, a factory that treats its waste water before returning it to the river shows social responsibility, because it protects the people who live downstream. The word *responsibility* has a special meaning here. It does not mean a task assigned to one person. It means a duty that the business owes to others.

Chapter 3 showed that a business may hold social aims beside its aim to earn profit.¹ Social responsibility is the way those aims turn into action. The business that holds a social aim decides to give, to protect or to treat people fairly. The business that holds no such aim may still keep the duty, because the law and public opinion expect it. Duty and aim often point in the same direction, though they are not the same thing.

Why should a business have these duties at all? There are two

¹ Recall: social aims, Chapter 3, section 3.2 'Social and Human Objectives'.

FIG. 3.1. *Economic, social and human aims as three overlapping rings***THREE KINDS OF AIM**

An economic aim is measured in money. A social aim benefits people outside the business. A human aim benefits the people who work in it.

Before moving on. A social objective benefits people outside the business. A human objective benefits the people who work in it. These aims cost money and may conflict with profit, but a business can balance them by limiting the cost, choosing aims that serve more than one purpose and keeping survival first. You should now be able to name the three kinds of aim and give one example of each.

* * *

3.3 WHAT A BUSINESS NEEDS TO SUCCEED

Imagine two shops that open on the same day in the same street. Both write down the same aims. Five years later one thrives and the other has closed. What differed? Luck may play a part. But the two shops also differed in what they had in place, and those differences can be studied.

Start with the meaning of one word. A prerequisite is something that must be in place before something else can happen. A journey has prerequisites: a map, fuel and a road. A business has prerequisites of success too. The factors of production, such as land and labour, supply the inputs, and a product that customers want gives the business a reason to exist. Beyond these, three prerequisites matter to every business: planning and foresight, customer goodwill and sound finance.

Planning is deciding in advance what to do, with what means, and by when. Foresight is looking ahead to judge what may happen. A plan answers four questions: What do we want? How

Recap: social and human objectives, and three ways to balance them with profit.

A puzzle: two shops with the same aims, one thriving and one closed.

A prerequisite is something needed before something else can happen; a business has several.

Recall: factors of production, land and labour, Chapter 2, 'Factors of Production'.

GO SLOWLY HERE.

Planning is deciding in advance what to do, and foresight is judging what may happen

* * *

WORKED CASE: READING THE AIMS OF MEGHNA AND SONS FOR 2026

A worked case applies the chapter to one situation, step by step. We use the aims in the case file.

Case file, illustrative. Situation: the aims written down for 2026 are to raise profit from Tk 750,000 to Tk 900,000; to supply 12 schools' libraries, against 4 schools in 2025; to train 7 staff in customer service, for 14 hours each; and to give 200 books a year to a school library. The shop's profit in 2025 was Tk 750,000, and its return on capital in 2025 is found from capital of Tk 4,100,000.

Question. (a) Is each aim economic, social or human? (b) By how much, and by what percentage, does the profit aim raise profit? (c) How many hours of training are planned? (d) What was the return on capital in 2025?

Reasoning. Step one, part (a). We ask who gains. The profit aim is economic, because profit is measured in money. Supplying 12 schools' libraries is an economic growth aim, because the sales to those libraries can be measured in money. Training the staff is human, because the staff gain. Giving 200 books is social, because the school library, outside the business, gains.

Step two, part (b). **Given:** profit now is Tk 750,000, and the target is Tk 900,000. **Find:** the rise and the percentage rise. **Formula:** in words, rise equals target minus present profit, and percentage rise equals rise divided by present profit, multiplied by 100. **Steps:** $900,000 - 750,000 = 150,000$. Then $150,000 \div 750,000 = 0.2$, and $0.2 \times 100 = 20$. **Answer:** the aim raises profit by Tk 150,000, which is 20%. **Check:** 20% of Tk 750,000 is Tk 150,000, which matches the rise.

Step three, part (c). The plan trains 7 staff for 14 hours each, so the total is $7 \times 14 = 98$ hours. **Check:** $10 \times 7 = 70$ and $4 \times 7 = 28$, and $70 + 28 = 98$.

Step four, part (d). **Given:** profit Tk 750,000 and capital Tk 4,100,000. **Find:** return on capital for 2025. **Formula:** in words, profit divided by capital, multiplied by 100; in symbols, $R = P \div C \times 100$. **Steps:** $750,000 \div 4,100,000 = 0.1829$ to four decimal places. Then $0.1829 \times 100 = 18.29$, which rounds to 18.3.² **Answer:** the return on capital in 2025 was 18.3%. **Check:** 18.3% of Tk 4,100,000 is about Tk 750,300, which is close to Tk 750,000. The small difference comes from rounding.

Conclusion. The four aims include two economic aims, one human aim and one social aim. The profit aim raises profit by 20%, the training totals 98 hours, and the 2025 return on capital was 18.3%. **Check.** Does each aim fit the definition of an objective in section 3.1? Each states an amount, and each is tied to 2026 or to a year, so each is an objective.

² Rounding to one decimal place means keeping one digit after the decimal point and adjusting it by the digit that follows. Here 18.29 becomes 18.3.

A worked case applies the chapter to the shop's written aims for 2026.

The situation: four written aims, the 2025 profit and the 2025 capital.

The question has four parts: classify the aims, measure the profit rise, count the training hours and find return on capital.

Step one asks who gains from each aim.

Step two finds the profit rise as Tk 150,000, which is 20%.

Step three multiplies 7 staff by 14 hours to give 98 hours.

Step four applies the return-on-capital formula to give 18.3%.

Conclusion and check: the aims cover all three kinds, and each has an amount and a period.

does not prove that the price cut caused all of the fall. **Check.** Tk 5,100,000 – Tk 800,000 = Tk 4,300,000, and $0.299 \times \text{Tk } 14,400,000$ is about Tk 4,300,000.

* * *

SUMMARY

The environment is all the forces and conditions that affect how a business operates. The internal environment holds what the business can control: owners, managers, employees, resources and culture. The external environment holds forces it cannot control directly: economic, social and cultural, political and legal, and technological. A stakeholder is anyone affected by the business or able to affect it. A business can adapt, influence within limits, and scan for change.

THINK IT THROUGH

A new bookshop opens two streets from a small shop. It sells the same kinds of book and advertises lower prices. The owner of the small shop has the same staff and the same stock as before.

5.T1 Which part of the environment is the new competitor, and in which of the four groups does the competitor belong?

5.T2 Name two internal forces that will decide how well the small shop can respond.

5.T3 Describe one way the owner could adapt and one way the owner could try to influence the situation.

WHERE PEOPLE GO WRONG

A business can ignore external forces because it cannot control them. The business cannot control them directly, but it can adapt, influence within limits, and scan for early warning. Ignoring them is a choice with a cost.

Everything internal is under complete control. Control is partial: money, skills and time limit what the owner can change, and internal forces can be weaknesses.

A stakeholder is the owner. A stakeholder is anyone affected by the business or able to affect it, including staff, customers, suppliers and the government.

Environment means nature. In daily life it often does, but here it means all the forces and conditions, inside and outside the business, that affect how it operates.

IN HISTORY

George Eastman founded the Kodak company in Rochester, New York, in the United States, and in 1888 it introduced a simple camera for ordinary people. For more than a century, photographic film was Kodak's main business. In 1975 a Kodak engineer,

The environment has an inside and an outside, and a business can respond to both.

A new competitor opens near a bookshop, and the owner must decide how to respond.

External forces cannot be controlled, but they can be answered.

Internal does not mean fully controlled or free of problems.

A stakeholder is not only the owner.

Environment in this subject is wider than nature.

Kodak invented the digital camera in 1975 yet failed to adapt in time and sought bankruptcy protection in 2012.

space around them.³ This was a human objective placed beside the economic one.

In 1900 the village was placed under the Bournville Village Trust, a body that managed it independently of George Cadbury and of the company. The trust still exists. The lesson for this chapter is that the Cadbury firm earned profit from chocolate and also pursued the welfare of its workers, and it pursued both together.

In 1900 the village was placed in the care of a trust, so that it would continue beyond the company.

REVIEW QUESTIONS

- 3.1 In the case file, separate the four aims for 2026 into economic, social and human aims, and give a reason for each.
- 3.2 Rewrite the wish "the shop should sell more" as an objective that has an amount and a time.
- 3.3 A stall has capital of Tk 2,000 and earns a profit of Tk 300 in a year. Find its return on capital, showing each step.
- 3.4 Give three prerequisites of success for a florist, and explain each in one sentence.
- 3.5 A small clothing workshop states four aims: raise sales by 10%; pay every worker a monthly bonus; give leftover cloth to a girls' school; open a second counter. Classify each aim as economic, social or human.
- 3.6 Explain in your own words why a business that does not survive can reach none of its other objectives.
- 3.7 A café plans to open three more branches in one year, using borrowed money. Using growth, sound finance and goodwill, explain two dangers of the plan.
- 3.8 Describe how goodwill is earned, how it is lost, and why it is worth money.

³ The Cadbury family were Quakers, members of a Christian religious group, and historians often link their concern for their workers to their faith.

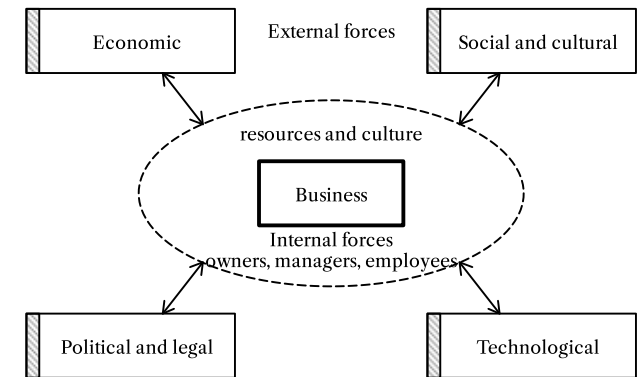


FIG. 5.1. A business at the centre with internal and external forces around it

A business can adapt to change by altering what it does.

A business can sometimes influence outside forces, but only within limits.

Scanning means watching the outside forces regularly, so that change brings early warning.

A table compares the three responses and their limits.

The first response is adapting. Adapting means changing what the business does so that it fits new conditions. The shop could change its stock to match the new curriculum, offer advice that an online seller cannot give, or reduce its costs. Which choice suits depends on the internal environment: only changes that the shop can afford, and that its staff can perform, are real options. A customer sees the result as a shop that still offers what is needed.

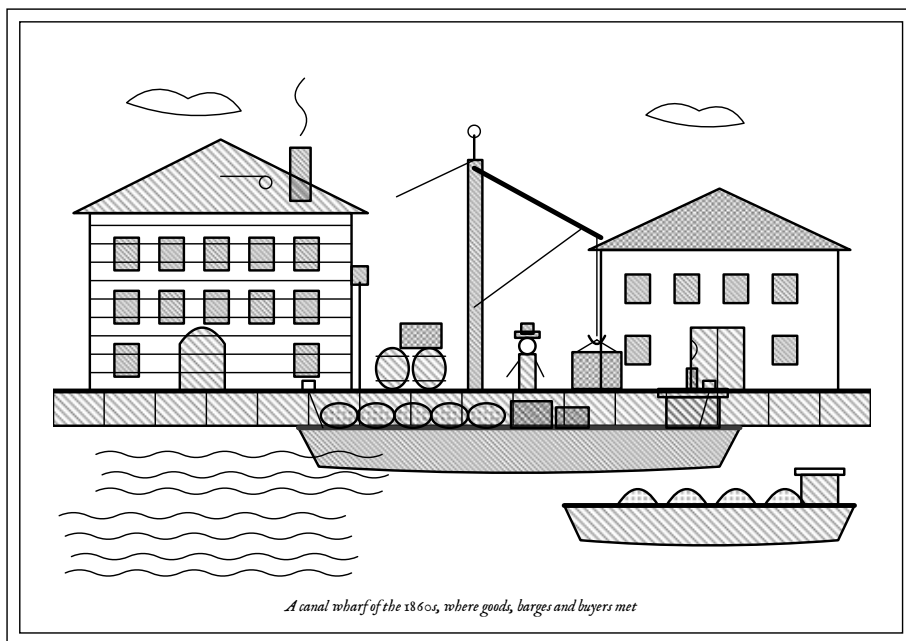
The second response is influencing the environment. A business can sometimes shape the forces around it. It can build goodwill by serving customers well, so that they stay when prices tempt them away. Several shops can also join a trade association to speak with one voice to officials. The limits are real. A small shop cannot reverse an online price cut or change a law alone, and any influence must stay within the law.

The third response is scanning for change. Scanning means watching all four groups of external force on a regular basis: reading the news, noting competitors' prices, and asking customers what they need. Scanning gives time. The curriculum change was announced for January 2026, so a shop that scans has months to adjust its stock before the change arrives. A shop that does not scan learns of it when customers ask for books it does not hold.

The three responses can be compared side by side. The table below names each response, says what it means, gives a shop example, and states its main limit. Read each row from left to right.

THREE RESPONSES TO A CHANGING ENVIRONMENT

RESPONSE	WHAT IT MEANS	SHOP EXAMPLE	MAIN LIMIT
Adapting	Changing what the business does	Stocking the new curriculum books	Needs money and time
Influencing	Shaping the forces around it	Building goodwill with local schools	A small business has little power
Scanning	Watching for change early	Noting competitors' prices each month	Gives warning, not a cure



CHAPTER IV

Choosing Where a Business Stands

Why does one street reward a business while the next street ruins it?



Every business must stand in some place. This chapter shows how an owner weighs materials, customers, transport, workers, power, land, services and public rules before choosing a site, and why that first choice shapes every later year.

The owner cannot choose competitors' prices or the law, yet both matter.

The external environment is the group of forces outside the business that it cannot control directly.

External environment. Forces outside the business, such as customers, laws and prices, that it cannot control directly.

External stakeholders each want something different from the business.

Sorting forces helps an owner decide what can be changed and what must be met.

The many external forces are easier to hold in mind when sorted into four groups.

owners, managers, employees, resources and culture. A stakeholder is any person or group affected by a business or able to affect it.

5.2 OUTSIDE THE BUSINESS

Return to the puzzle of the bookshop. The price cut by online sellers and the curriculum change came from outside the shop. The owner did not choose them and cannot order them to stop. Forces of this kind form the second group.

The second group is the **external environment**. The external environment means forces outside the business, such as customers, laws and prices, that it cannot control directly. The word *directly* matters. The shop cannot command customers or change a law, although it can influence some forces, as section 5.3 shows. External stakeholders include customers, suppliers, lenders, competitors and the government. Features of the area around the shop, such as its neighbours and roads, also belong here.²

PAUSE AND CHECK 5.P1 Is a competitor's price cut part of the internal or the external environment? Give one reason.

External stakeholders each want something different. Customers want goods of good quality at a fair price. Suppliers want orders and prompt payment. Lenders want their money back with interest. Competitors want the same customers. The government wants taxes paid and laws obeyed. Because their wants differ, a decision that pleases one group can displease another: a lower price pleases customers but may trouble a supplier who is asked to charge less.

Why sort at all? The sort tells the owner what to do about each force. An internal fact can be changed. An external force can only be met: by adapting, by influencing within limits, or by scanning for early warning. An owner who mixes the two groups wastes effort, for example by trying to change a competitor's price instead of changing the shop's own stock list.

The external environment holds many forces, so we sort them into four groups. The table below names each group, says what it contains, and gives a bookshop example. Read each row from left to right. The groups overlap at the edges, as the exceptions below explain.

FOUR GROUPS OF EXTERNAL FORCE

GROUP	WHAT IT CONTAINS	BOOKSHOP EXAMPLE
Economic	Prices, incomes, competition, interest rates	Online sellers cut textbook prices
Social and cultural	Habits, beliefs, tastes, population	Visits to the book fair each February
Political and legal	Government decisions, laws, taxes	A school curriculum change
Technological	New machines, methods	Online selling websites

² Recall: plant location, footfall and industrial estate, Chapter 4, 'Choosing Where a Business Stands', section 4.1 'Why Location Matters'. Site factors belong to the external environment.

scale. It may have signed a lease, which is a written agreement to rent a building for a fixed period. It may have built a factory or fixed heavy machines to the floor. It may also lose customers who knew the old address. The trust those customers felt for the business, its goodwill, may be harmed.¹

The commitment is not equally heavy for every business. A rented shop can be left when the lease ends. A small office with a few desks and computers can move in a weekend. A steel mill cannot move at all without being rebuilt. For this reason the owner must judge a site not only for today but for the years ahead. A site that suits a young business of seven staff may not suit the same business when it has seventy.

The site affects two sides of the business at once. On the side of cost, it decides the rent, the price of carrying materials in and goods out, and the wages that workers expect. Here *cost* means any money a business spends to make and sell its goods. On the side of sales income, it decides how many customers can reach the business and how much they will pay. A site that lowers cost may also lower sales income, as the village baker may discover. The money left after cost is taken from sales income is the profit.

A good choice widens the gap between sales income and cost. The objective of the business changes how that gap is judged. A business whose first objective is survival in a hard year may choose the cheaper site. A business whose objective is growth may accept a high rent for a place that brings many customers. The owner should therefore state the objective before comparing sites, because the same site can be right for one objective and wrong for another.

Before moving on. Plant location is the choice of a place for a factory or shop, made by weighing factors. A site is a fixed commitment, because leaving it costs money, time and goodwill. A site changes both cost and sales income, and its worth depends on the objective of the business.

4.2 PULL OF MATERIALS AND MARKETS

Imagine several people holding one rope and pulling in different directions. The knot in the middle settles where the pulls balance. Each factor in this chapter acts like one of those pulls on the site. Two of the strongest pulls come from the two ends of the business: the place where materials begin and the place where customers wait.

Many businesses gather materials from the land, such as ore, cotton, timber, sugar cane or limestone. When the making process removes much weight, the business saves money by standing close to the source. Cement makers stand near limestone, and sugar mills stand near cane fields, because cane must be crushed soon after cutting. Carrying heavy waste a long distance would raise cost with no gain. This is the pull of nearness to raw material, and it is strongest for heavy materials that lose weight in the making.

¹ Recall: what a business needs to succeed, Chapter 3, section 3.3 'What a Business Needs to Succeed'. A site that fails the business threatens its survival.

Some commitments are lighter than others.

A site changes both the money a business spends and the money it receives.

Cost. Word in use. In daily life, the price you pay for something. In business, any money spent to make and sell goods, such as rent, wages and transport.

A good site widens the gap between sales income and cost.

Before moving on: this section gave three ideas.

Think of each factor as a pull that draws the site toward it.

Some businesses stand near their materials because carrying them is costly.

YOU WILL NEED

From Chapter 3, 'Objectives of Business and What Makes It Succeed', section 3.1 'The Purpose of a Business', you need the idea that a business has objectives. From Chapter 4, 'Choosing Where a Business Stands', section 4.1 'Why Location Matters', you need the idea that a site has features that help or hurt a business. Nothing else is assumed.

A business can lose sales while nothing inside it changes.

The shop's textbook sales show such a fall in 2025.

The answer lies in the surroundings of the business, which this chapter names.

A household has some things under its control and others that are not.

The word environment names all the forces and conditions that affect a business.

Environment. All the forces and conditions, inside and outside a business, that affect how it operates.

Environment. Word in use. In daily life, environment often means nature: air, water, forests and weather. In this subject, environment means all the forces and conditions, natural or not, that affect how a business operates.

The internal environment is the group of forces inside the

Suppose the owner of a shop keeps the same shelves, the same seven staff and the same opening hours for two years. Nothing in the shop is worse than before. Yet in one year, sales of the shop's main product fall by a large sum. The owner asks a hard question: if nothing inside the shop changed, where did the cause come from?

Case file, illustrative. Meghna and Sons recorded textbook sales of Tk 4,300,000 in 2025, against Tk 5,100,000 in 2024. Overall sales in 2025 were Tk 14,400,000. The record also notes that online sellers cut textbook prices by about 15% from March 2025, and that a school curriculum change was announced for January 2026.

The record points to events outside the shop: a price cut by other sellers and a decision about school books. Neither event happened in the shop, yet both can change what the shop sells. Every business lives among such events. This chapter gives names to the forces inside and outside a business, and shows how an owner can respond when they change.

* * *

5.1 INSIDE THE BUSINESS

Begin with your own household. You decide how the family spends its money in a month, who cooks, and which rooms are used. You do not decide the price of rice in the market, the weather, or whether the electricity fails. Some forces you control, and others reach you from outside. A business is in the same position.

The word for all these forces together is **environment**. The environment of a business is all the forces and conditions, inside and outside the business, that affect how it operates. In daily life people use the word for nature. Here it is wider: it includes staff, prices, laws and machines as well as weather. We sort it into two groups. The first group lies within the business.

The first group is the **internal environment**. The internal

Before moving on. Nearness to raw material draws heavy, weight-losing businesses toward their sources. Nearness to market draws businesses whose goods spoil, break or need quick sale, and foot-fall measures it for a shop. Transport and communication join the other two, and their quality matters as much as their price.

4.3 LABOUR, POWER, LAND AND SERVICES

The first two pulls came from the two ends of the business. The next four come from what the business needs every day: workers, energy, space and help from other organisations. A site that is strong on materials and customers can still fail if it is weak on these four.

Labour is the work of people, and every site has its own supply of it. The owner asks three questions. Are there enough people living nearby? Do they have the skills the business needs? What wages do they expect? A bookshop needs staff who can reach the shop at opening time. A software office needs trained programmers, who are found mainly in large towns. A garment factory needs many workers, so it seeks a place with a large working population. Workers are also customers of the neighbourhood: a site far from homes and bus routes makes every working day longer.

The pull of labour has limits. Wages and skills differ between towns, between regions and between countries. A business that uses many machines needs fewer workers and may care less about this pull. Skilled workers may also be willing to move to a new town if the pay is good, though a move costs them money and time. The owner should compare not only the wage but the output each worker can produce.

Many businesses depend on power, which means electricity, gas or fuel to run machines, ovens and lights, and on water for washing, cooling and drinking. A bakery needs steady heat for its ovens. A steel mill needs very large amounts of water for cooling. A site where supply fails often forces the business to stop work while wages and rent continue. The owner should discover how reliable each supply is, what it costs, and whether the site is joined to the public network.

A weak supply can sometimes be repaired at a price. A business may buy a generator to make its own electricity or build a tank to store water. Each choice adds cost for equipment, fuel and care. An office needs little water but needs power and internet without interruption. The question to ask is therefore not "Is there power?" but "How often does the power fail, and what does a failure cost this business?"

Land is the third pull.² A factory needs a large area, while a shop needs a small area in a busy street. The price or rent of land usually rises toward the centre of a town, where customers are many, and falls toward the edge, where customers are few. Land cost is measured per square foot or per acre, so two sites of different size must be compared by that measure. The owner must also remember that

² Recall: land and natural resources, Chapter 2, section 2.1 'Land and Natural Resources'.

Before moving on: this section named three pulls.

Four more pulls come from workers, energy, land and supporting services.

A business needs enough workers with the right skills at wages it can pay.

Wages and skills differ by place, and machines can lessen the need for workers.

Power and water are daily needs, and a shortage can stop the whole business.

A business may buy its own generator or water store, but this adds cost.

Land cost and land laws limit where a business can afford to stand.

means ranking them by the objective of the business and accepting a compromise.

* * *

A WORKED CASE: A SECOND SHOP FOR MEGHNA AND SONS

A worked case applies an idea to a situation. It has five parts: the situation, the question, the reasoning, the conclusion and a check. Here we apply the factors of this chapter to one case file.

Case file, illustrative. On 12 May 2026 the file for Meghna and Sons records a site choice for a second shop. Three sites are listed. Dhanmondi is the existing shop: rent Tk 60,000, 900 square feet, footfall 410 a day. Mirpur: rent Tk 38,000, 700 square feet, footfall 520 a day, with three schools within 600 metres. Uttara: rent Tk 52,000, 800 square feet, footfall 380 a day, with parking available. The footfall counts are five-day averages.

The table below puts the recorded facts in one place. Read each row as one site and each column as one measure; the rent is taken as Tk per month, as at the existing shop.

THE THREE SITES IN THE CASE FILE

SITE	RENT (TK A MONTH)	AREA (SQUARE FEET)	FOOTFALL A DAY	OTHER RECORD
Dhanmondi (existing)	60,000	900	410	None recorded
Mirpur	38,000	700	520	Three schools within 600 metres
Uttara	52,000	800	380	Parking available

Question. Which site do the recorded facts favour for a second shop, and what further facts are needed?

Reasoning. Sites differ in size, so we first compare rent per square foot. Divide the monthly rent by the area. Dhanmondi: $60,000 \div 900 = \text{Tk } 66.67$. Mirpur: $38,000 \div 700 = \text{Tk } 54.29$. Uttara: $52,000 \div 800 = \text{Tk } 65.00$. All answers are in taka per square foot a month, rounded to two decimal places.

Next we compare footfall with rent. Divide the daily footfall by the monthly rent in thousands of taka. Dhanmondi: $410 \div 60 = 6.83$. Mirpur: $520 \div 38 = 13.68$. Uttara: $380 \div 52 = 7.31$. A higher number means more people pass for each Tk 1,000 of rent. The third step uses facts that no calculation can measure: Mirpur has three schools within 600 metres, which may bring students and parents past the door, and Uttara has parking, which helps customers who arrive by car.

Conclusion. On the recorded figures, Mirpur has the lowest rent per square foot and the highest footfall, and it passes nearly twice as many people per Tk 1,000 of rent as either other site. It is also

A worked case applies the factors to a documented record and is not a model answer.

The situation is a record of three sites for a second shop.

The table sets the three sites side by side on the same measures.

The question asks which site the recorded facts favour.

Reasoning begins with rent per square foot, so sites of different size can be compared.

The second step compares how many people pass for each Tk 1,000 of rent.

On the figures given, Mirpur leads on rent and footfall but needs more checks.

The check repeats the arithmetic backwards and compares it with the record.

Check. Multiply each rate by its area. For Mirpur, $54.29 \times 700 = 38,003$, which equals Tk 38,000 apart from rounding. For Dhanmondi, $66.67 \times 900 = 60,003$. The result is sensible, because Mirpur has the lowest rent in the file and also the lowest rent per square foot.

* * *

SUMMARY

Plant location is the choice of a place for a factory or shop by weighing factors. A site is a fixed commitment that affects cost and sales income for many years. The main pulls come from materials, customers, transport, labour, power and water, land and its laws, services, government policy, climate and safety. Each factor has a different weight for each business, so the owner states the objective, ranks the factors and accepts a compromise.

THINK IT THROUGH

Use the case file in the worked section for the first two questions. The last two change the setting.

4.T1 An owner values low rent above every other factor. Which of the three sites does the owner prefer? Give two figures from the case file that support the answer.

4.T2 Suppose the rent at Uttara falls from Tk 52,000 to Tk 40,000 for the same 800 square feet. Find the new rent per square foot, then say whether Uttara now beats Mirpur on that measure and on footfall for each Tk 1,000 of rent.

4.T3 A software office with ten staff must choose between a busy city centre and a quiet town. Which factors matter most, and which matter little?

4.T4 A bakery has stood in one street for ten years. A new road reduces its footfall, and the owner is offered cheaper land in an industrial estate. What must the owner weigh before deciding to move?

WHERE PEOPLE GO WRONG

Mistake. The cheapest site is the best site. **Correction.** Low rent may come with low footfall, poor transport or weak power. The owner compares the total effect on cost and sales income, not the rent alone.

Mistake. Once the owner has chosen a site, the choice is final. **Correction.** A site is a heavy commitment, but conditions change. Costs, customers and laws move, and a business may leave a site when staying costs more than leaving.

Mistake. High footfall means high sales. **Correction.** Footfall counts people who pass or enter. Only some of them buy, so a high count shows an opportunity and must be checked against sales.

The summary lists the main ideas of the chapter.

The questions below change the situation step by step.

Four common mistakes about site choice, each with its correction.

A site is not a final decision.

Footfall measures people who pass, not people who buy.

have real alternatives. The right to be heard means that a complaint should receive a fair answer. A responsible business respects these rights even where the law does not enforce them, and the exact legal rights differ by country.

Before moving on. A business owes its community fair conduct every day, and gifts are a smaller part of this duty. It owes the natural world care with waste, and the idea of sustainability tests whether its methods could last. It owes consumers safety, truthful information, choice and a fair hearing, whether or not the law forces it to do so.

6.3 RESPONSIBILITY TO SUPPLIERS

A supplier is a person or firm that sells materials or goods to a business. A bookshop buys its books from publishers, and a bakery buys its flour from a mill. The relation is one of trust, since the supplier delivers goods first and usually receives payment later. The supplier is therefore also a lender, though no one calls the supplier by that name. This is why the business owes the supplier particular duties.

The first duty is fair dealing. It means that the business agrees terms that it intends to keep, that it does not use its size to force an unfair price, and that it does not return goods without good cause. A large business often has great power over a small supplier. If a large shop is the supplier's main customer, the supplier may accept a very low price because it fears the loss of the order. A responsible business does not use this power to harm the supplier's survival, since a supplier that fails cannot supply tomorrow.

The second duty is prompt payment, which means paying the supplier on or before the date that was agreed. Late payment is a form of borrowing without permission. The supplier must wait for money that it has earned, and it may have to borrow to pay its own staff. A small supplier may suffer severely from a delay of a few weeks. A business that pays late may save a little in the short term, but it damages the trust on which its supply depends.

This duty is easy to measure. If the agreed payment time is 30 days and the business pays on average after 47 days, then it pays 17 days late, because $47 - 30 = 17$. A late average of 17 days is more than half of the agreed time. The numbers do not by themselves prove an unfair motive: the business may have had a cash shortage, or a delay in its own invoices. They show, however, whether the promise was kept, and a responsible business records and reviews this figure.

Before moving on. A supplier sells materials or goods to a business and usually waits to be paid. The business owes the supplier fair dealing, which means honest terms and no abuse of power, and prompt payment, which means paying on the agreed date. The average payment time compared with the agreed time shows whether the promise was kept.

Before moving on: this section gave three duties to society.

A supplier sells inputs to the business and depends on its fair dealing.

Fair dealing means honest terms, honest weights and honest quality claims.

Prompt payment means paying on the day that was agreed.

A promise to pay in thirty days is a promise, and its keeping is measurable.

Before moving on: this section gave two duties to suppliers.

Authorised capital is a ceiling; only part of it is issued.

Before moving on: the four ideas of the section in one place.

Companies differ in who may buy their shares.

A private company keeps its shares among a few chosen owners.

Private limited company. A company that restricts transfer of its shares and cannot invite the public to buy them.

A public company may ask the public to buy its shares.

Public limited company. A company that may invite the public to buy its shares, which are often traded on a stock exchange.

Limited in a name warns the reader about the owners' protection.

Limited. Word in use. In daily life, restricted or small,

The case file uses two phrases that need a plain meaning. Authorised capital is the largest amount of capital that the founding documents allow the company to raise through shares. To issue shares means to create them and give them to holders in return for money or property. In the case file the ceiling is 1,000,000 shares, but only 410,000 would be issued at first, so 590,000 remain available for later. Section 9.3 'Forming a Company' returns to the founding documents.

IN SHORT

A company is a separate legal person, with capital divided into shares, and with owners whose loss is limited to the money they paid.

* * *

9.2 PRIVATE AND PUBLIC COMPANIES

Not every company wishes to sell shares to strangers. A family of bakers may want limited liability and a business that continues, yet wish to keep control among a few trusted people. A large railway or bank, by contrast, may need so much money that it must ask thousands of people to contribute. The law therefore provides two kinds of company, and the difference between them is about who may buy the shares.

A **private limited company** means a company that restricts the transfer of its shares and cannot invite the public to buy them. To restrict transfer means that an owner may not sell shares to an outsider without following the company's rules, which usually require the agreement of the others. For example, three partners who convert their business into a company, and who agree that no one may sell shares to an outsider without the others' consent, have formed a private limited company.

A **public limited company** means a company that may invite the public to buy its shares, and whose shares are often traded on a stock exchange. A stock exchange is a market in which shares are bought and sold under rules, through licensed dealers called brokers. A person who owns shares in a public company can usually sell them to another person on the exchange, on any working day, without asking the company for permission.

Both kinds of company carry the word limited in their names. The word has an everyday meaning of small or restricted, but here it has a legal meaning: it tells every customer, supplier and lender that the owners are protected by limited liability, and that only the

* * *

A WORKED CASE: THE MEGHNA AND SONS RECORD FOR 2025

A worked case applies an idea to a situation. It has five parts: the situation, the question, the reasoning, the conclusion and a check. We apply the duties of this chapter to one case file.

Case file, illustrative. Record for 2025, Meghna and Sons. Supplies were bought from 14 publishers. On 31 December 2025 the amounts owed to publishers were Tk 1,150,000. The agreed payment time was 30 days, and the actual average was 47 days. In March 2025 the shop gave 200 books, with a retail value of Tk 90,000, to a school library in Kalabagan. The shop sent 380 kg of unsold paper for recycling. A bank loan of Tk 600,000 is held.

The table below matches each fact to a group from this chapter. Read each row from left to right: the first column gives the fact, the second the group, and the third the duty.

FACTS IN THE 2025 RECORD, WITH THE GROUP AND THE DUTY

FACT	GROUP	DUTY
Owes Tk 1,150,000 to 14 publishers	Suppliers	Prompt payment
Pays in 47 days, not 30	Suppliers	Prompt payment
Gave 200 books to a school library	Community	Gift
Sent 380 kg of paper for recycling	Society and nature	Care with waste
Holds a bank loan of Tk 600,000	Lenders	Repayment on agreed terms

Question. From the record, which duties does the shop appear to keep, and which does it appear to strain?

Reasoning. First we measure the delay. The agreed time is 30 days and the actual average is 47 days, so $47 - 30 = 17$ days late. As a fraction of the agreed time, $17 \div 30 = 0.57$, which is 57 per cent when rounded to a whole number. Second, we compare the gift with the profit. The profit of Tk 750,000 in 2025 is a base fact of the case. The gift has a retail value of Tk 90,000, so $90,000 \div 750,000 = 0.12$, which is 12 per cent. Retail value is the price at which the shop would sell the books, not the cost to the shop, so the true cost of the gift is lower. Third, we note the care with waste: 380 kg of paper went to recycling instead of the rubbish.

Conclusion. The record shows a firm that gives to its community and recycles its waste, which are real duties kept. It also shows a firm that pays its suppliers 17 days later than it agreed, which strains the duty of prompt payment. The record does not state why the payments are late, so we cannot say that the cause is carelessness. The duty to lenders cannot be judged from this record, since it does not state whether the bank loan is repaid on time. A respons-

A worked case applies the ideas to a recorded situation and is not a model answer.

The situation is a record of the bookshop's dealings in 2025.

The table matches each fact in the record to the group it concerns.

The question asks which duties the record shows kept and which it shows strained.

Reasoning first measures the lateness, then compares the gift with the profit.

The conclusion balances the strengths of the record with its weakness.

You will need: Chapter 8 'The Partnership', section 8.4 'Partnership Compared with Sole Proprietorship', and section 8.3 'Rights, Duties and Dissolution'.

A partnership suffers when a partner leaves, and each partner risks all personal wealth.

Four questions about a business that outlives its owners.

The chapter moves from meaning, to kinds, to formation, to judgement.

Equal parts let many people fairly pool money.

A company is a business whose money is divided into equal parts.

Stock. Word in use. In daily life, the goods a shop holds for sale, such as the books on a shelf. In the name "joint stock company", an old word for the money of the business, divided into parts.

Joint stock company. A business whose capital is divided into equal parts, owned by many people, and treated by law as a person.

Think of a bookshop run by three partners. One partner is tired and wishes to leave, and she asks for her money back. The other two must find that money quickly, or the shop must close. Meanwhile, a supplier who never met her can demand payment from her house and her savings, although she no longer works in the shop. A partnership solves many problems, but it leaves two untouched: it is hurt when its members change, and its members risk everything they own.

Now ask four stranger questions. Could a business continue to exist after all its owners have died? Could it own a building, sign a contract and be taken to court in its own name, as a person can? Could an owner leave by selling a part of the business to someone else, without disturbing the business at all? And could an owner lose only the money contributed, and never one taka more? Most students answer no to the first question. Every answer is yes, and the form of business that gives all four is called the company.

This chapter explains how that is possible. We begin with what a company is and why the law allows it. We then separate the two kinds of company, private and public, and follow the steps that bring one into existence. We end by asking whether the company is the best form, because it is not always the best. Many students find the idea of a business that is a person difficult at first, since we usually think of a person as someone who can walk and speak. The chapter builds the idea in small steps, and each section ends with a short recap.

* * *

9.1 WHAT A COMPANY IS

Imagine ten neighbours who wish to build a rice mill. The mill costs more than any one neighbour can pay, so each contributes money: one gives a large amount, another a small amount. The mill is built and begins to earn a profit. Now the neighbours face a question of fairness. How should the profit be divided, and what happens when one neighbour wishes to leave? A fair method is to divide the total money of the mill into equal parts, and to give each neighbour as many parts as the money that neighbour contributed.

The mill of the neighbours shows the idea behind a **joint stock company**, which means a business whose money is divided into equal parts, owned by many people, and treated by the law as a person of its own. For example, a bakery owned by two hundred people, each holding some of its equal parts, is a company. People also say corporation. This book uses the one word company.¹ Note the word stock: in a shop it means goods for sale, but in this name it is an old word for the money of the business.

¹ In the United States and some other countries, the word corporation is more common than company for this form of business.

On 5 October 1982 the company issued a recall of Tylenol products across the United States, covering an estimated 31 million bottles with a retail value of more than 100 million United States dollars. It stopped production and advertising, warned hospitals and the public, and offered to exchange capsules for solid tablets. The recall protected consumers, though it cost the firm a great deal. Afterwards, tamper-resistant packaging became common for medicines. The case shows a firm placing the safety of consumers before its short-term profit.

The company recalled the product before it knew the full cause.

REVIEW QUESTIONS

- 6.1 Explain social responsibility in your own words and give one example from a business you know.
- 6.2 Match each duty to the group it is owed to: prompt payment; honest accounts; a safe workplace; truthful labels; care with waste water. Choose from suppliers, owners and lenders, employees, consumers, and the community.
- 6.3 Give two arguments for and two arguments against the view that a business should accept social duties.
- 6.4 Explain the difference between a customer and a consumer, and give an example in which they are different people.
- 6.5 Explain sustainability and give an example of a business that is not sustainable.
- 6.6 Explain why late payment to a supplier is a breach of duty even if the law does not forbid it.

The questions below ask the reader to apply the chapter.

The situation states the facts of the deed and the profit.

The question asks for the shares under the deed and under the default rule.

The reasoning divides the profit into equal parts, then compares it with the default rule.

The conclusion compares the deed with equal shares.

The check adds the shares and tests the return on each partner's capital.

A short summary of the chapter.

The problem tests mutual agency on an invented case.

Situation. The deed of 1 July 2026 records capital of Tk 2,500,000 from Nurul Meghna, Tk 1,000,000 from Rafiq Meghna and Tk 600,000 from Tariq Meghna. The profit ratio is 5:3:2. The profit for 1 July to 31 December 2026 is Tk 420,000.

Question. How much does each partner receive under the deed? How would the shares differ if the deed were silent?

Reasoning. Many students find the ratio confusing, because the word part is new here. A part is one of ten equal pieces of the profit. First, add the parts: $5 + 3 + 2 = 10$. Second, find the value of one part: $\text{Tk } 420,000 \div 10 = \text{Tk } 42,000$. Third, multiply by each partner's number of parts. Nurul receives $5 \times \text{Tk } 42,000 = \text{Tk } 210,000$. Rafiq receives $3 \times \text{Tk } 42,000 = \text{Tk } 126,000$. Tariq receives $2 \times \text{Tk } 42,000 = \text{Tk } 84,000$. Fourth, apply the default rule. With no deed, the three partners would share equally: $\text{Tk } 420,000 \div 3 = \text{Tk } 140,000$ each.

Conclusion. Under the deed, Nurul receives Tk 70,000 more than an equal share. Rafiq receives Tk 14,000 less than an equal share, and Tariq receives Tk 56,000 less. The deed therefore favours the partner who supplied the most capital, but it does not divide the profit in proportion to capital.

Check. The shares add to the whole: $\text{Tk } 210,000 + \text{Tk } 126,000 + \text{Tk } 84,000 = \text{Tk } 420,000$. Dividing each share by Tk 42,000 gives 5, 3 and 2, the ratio of the deed. As a further test, compare each share with the partner's capital for the six months. Nurul earns Tk 210,000 on Tk 2,500,000, which is 8.4 per cent. Rafiq earns Tk 126,000 on Tk 1,000,000, which is 12.6 per cent. Tariq earns Tk 84,000 on Tk 600,000, which is 14 per cent. The smallest investor earns the highest return, which agrees with the figure in section 8.3.

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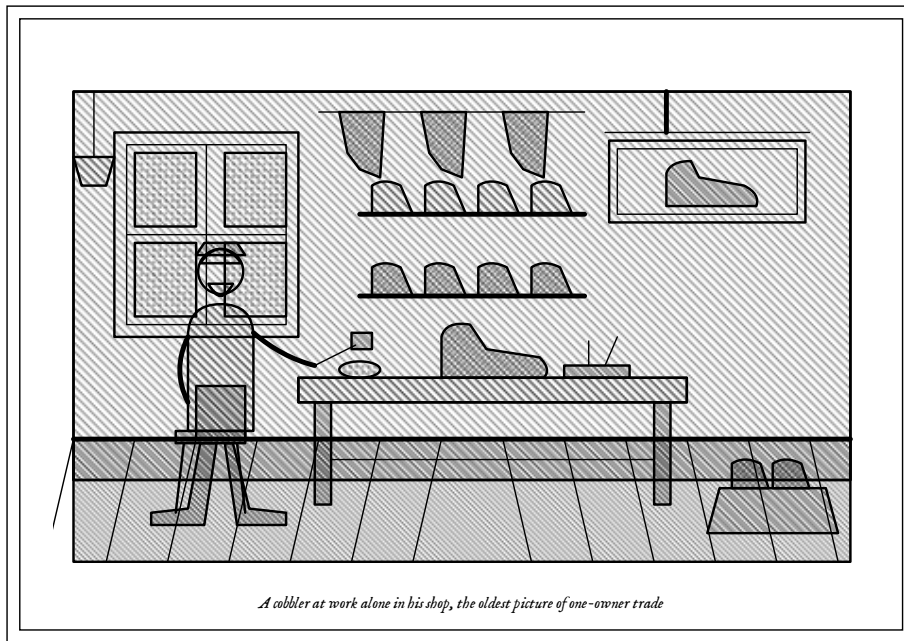
SUMMARY

A partnership is a business owned by two or more people who agree to run it together and share its profits. The partnership deed records the agreement. Mutual agency lets each partner bind all the others, and every partner shares unlimited liability in Bangladesh. Partners may be active, sleeping, nominal or limited, where the law allows. Where the deed is silent, the law fixes rights, duties and equal profit shares. Dissolution ends the partnership.

THINK IT THROUGH

Suppose that Anwar, Bilkis and Chandan are partners in a furniture business. Their deed forbids any one partner to sign an order above Tk 50,000. Without asking the others, Anwar signs an order for timber worth Tk 90,000 with a supplier who has never seen the deed. This case is invented, to practise the ideas of the chapter.

8.T1 Are Bilkis and Chandan bound to pay the supplier? Give your reason.



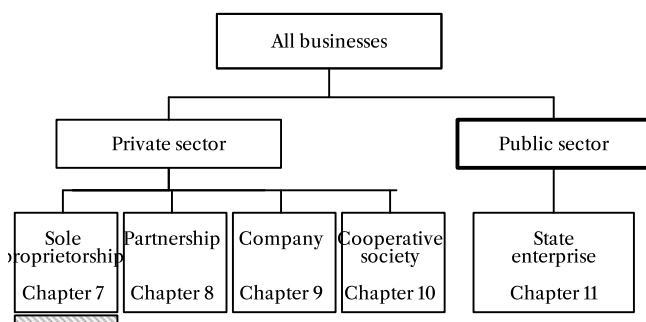
CHAPTER VII

Forms of Business Ownership and the Sole Proprietorship

Who owns the business, and who pays when it fails?



Every business belongs to someone, and the kind of owner changes who decides, who gains and who loses. This chapter surveys the main ways a business can be owned, then studies the simplest form in full: one owner, one business, and one person answerable for everything.



Hatched bar: the form studied in this chapter

FIG. 7.1. A family tree of ownership forms, from all businesses to the five forms

An economy is all the making, buying and selling in a country. Economists divide it into two large parts, called sectors. The **private sector** is the part of the economy owned and run by individuals and private firms rather than government. A family bakery belongs to it. The **public sector** is the part owned and run by government. A national railway or a government hospital belongs to it. Many countries have both sectors, and the share of each differs from country to country. Both sectors may be active in the same trade, such as schools or banking.

The public sector includes the business form named *state enterprise*, which means a business owned by the government. The words are previewed here for the family tree only. Chapter 11, 'State Enterprise and Comparing the Forms', teaches state enterprise in full. In the same way, *partnership* means a business owned by two or more people, and Chapter 8 teaches it. The words *company* and *cooperative society* are previewed for Chapters 9 and 10. These are not bold here, because they are not defined here.

How does an owner choose among these forms? The choice rests on four questions. How much money does the business need to begin? How much control does the owner wish to keep? How much risk can the owner bear? How large will the business grow? A small shop that needs little money and little help suits one owner. A business that needs very large sums suits a form with many owners. An owner who values full control and speed will often prefer a small number of owners. No form is best for every business, because each form has advantages and costs.

The choice is also shaped by law. Each country sets its own rules on which forms are allowed, how each is formed and how it is taxed. This chapter names the country whenever the rule depends

The words private sector and public sector divide an economy by who owns and runs.

Private sector. The part of the economy owned and run by individuals and private firms rather than government.

Public sector. The part of the economy owned and run by government.

Sector. Word in use. In daily life, an area or a section of a town or a field. In business, one of the two large parts of an economy: private or public.

A government-owned business will be studied later, so this chapter names it and moves on.

The right form depends on the objective, the money and the risk the owner accepts.

Law, tax and standards differ by country, so each owner must check local rules.

The case file applies the ratio to six months of profit.

A divided bar shows each partner's share of the capital and of the profit.

gives no salary to a partner for working in the business and no interest on capital, unless the deed provides for them. Equal shares often seem unfair, so partners usually fix a ratio in the deed. A ratio such as 5:3:2 divides the profit into $5 + 3 + 2 = 10$ equal parts. The partners receive 5, 3 and 2 of those parts. Unless the deed says otherwise, losses are shared in the same ratio as profit.

Case file, illustrative. Under the deed of 1 July 2026, the profit for 1 July to 31 December 2026 is Tk 420,000. Shared in the ratio 5:3:2, Nurul Meghna receives Tk 210,000, Rafiq Meghna receives Tk 126,000 and Tariq Meghna receives Tk 84,000.

The figure below has two bars of equal length. The upper bar stands for the whole capital, Tk 4,100,000, and the lower bar stands for the whole profit, Tk 420,000. Each bar is divided into three parts, one for each partner. The width of a part shows that partner's share of the whole. Compare the same partner in both bars to see how the deed treats that partner.

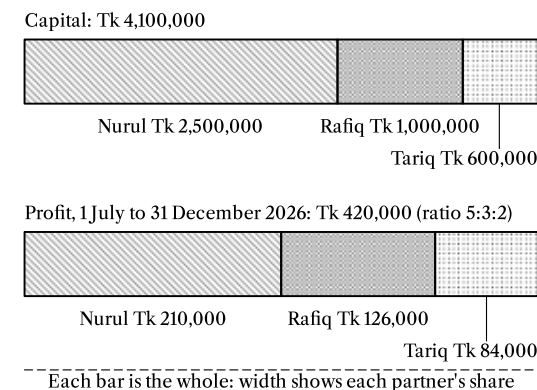


FIG. 8.1. Capital and profit shares of the three partners

The figure shows an important point. Nurul supplies the largest part of the capital and receives the largest part of the profit, but his part of the profit is smaller than his part of the capital. Rafiq and Tariq receive larger parts of the profit than of the capital. The law does not require a reason for this. The ratio is a bargain among the partners, who may wish to reward work, skill or risk. The deed records the bargain, and the law enforces it.

Partnerships do not last for ever. The formal ending of a partnership is called **dissolution**. After dissolution the partnership no longer operates as before. Dissolution is not always the end of the business itself, because the remaining partners may agree to continue it under a new agreement. When the business ends, the partners settle the accounts in a fixed order. The assets pay debts to outsiders first, then any loans from partners, then the partners' capital. Any remainder is shared in the profit ratio.

The law gives several ways in which a partnership ends, which we call the modes of dissolution. Read the table row by row. The left column names the mode, and the right column says when it

The profit ratio is a bargain among the partners, not a copy of the capital.

A partnership ends by dissolution.

Dissolution. The formal ending of a partnership or company, after which it no longer operates as before.

A table lists the five modes of dissolution.

the owner dies, though the owner's family may continue it under a new arrangement.

Which fields suit a sole proprietorship? It suits work that needs little money, close attention and personal contact with customers. Examples are small shops, tailors, barbers, repairers, farmers, market stalls and professional advisers. The owner can see the whole business and meet every customer. It suits less well a business that needs very large sums, many owners' skills or great size, such as a power station or an airline. Such work needs more money and more people than one person can provide.

Why does this old form survive when other forms exist? It survives because it fits real needs. It costs little to begin. It gives the owner full control and all the profit. It allows quick decisions and a personal bond with customers. It needs few legal steps. In most countries the number of sole proprietorships is larger than the number of any other form, though the largest businesses use other forms. The form lasts because many tasks in every economy are small and personal, and one owner is enough for them.

A short comparison helps. The table below lists the main features in two columns, one for the advantage to the owner and one for the cost. Read each row from left to right: the first column names a feature, the second shows how it helps the owner, and the third shows how it can hurt.

FEATURES OF A SOLE PROPRIETORSHIP, WITH THE GAIN AND THE COST OF EACH

FEATURE	GAIN TO THE OWNER	COST TO THE OWNER
All profit	Keeps every taka earned	Bears every taka lost
Control	Decides quickly and alone	No one to check mistakes
Liability	Simple: one person answers	Unlimited, reaching personal wealth
Formation	Cheap and quick to begin	Little help from others at the start
Money	Owner needs no outside agreement	Limited to what one person can raise

Before moving on. A sole proprietorship is a business owned and run by one person, who keeps all profit and bears all losses. Its features are full control, all profit, unlimited liability and ease of formation. It suits small, personal and local work, and it survives because it is cheap, quick and close to customers.

7.3 FORMATION AND MANAGEMENT

The cobbler is ready to begin. This section follows the steps in order: starting the business, obtaining the permission to trade, managing the daily work and recognising the limits of one-person ownership. The steps are described for Bangladesh, where the running case is set, and the rules of other countries are named as different where they differ.

The first step is a plan. The owner decides what the business will sell to whom and from where. The second step is money. The

This form suits businesses that are small, personal and local.

Many sole proprietorships survive because they are easy to run and close to customers.

Weighing these features shows who gains and who bears risk.

Before moving on: this section gave the features of one-owner business.

We now turn from what the form is to how an owner begins and runs it.

Starting needs a plan, money, a place and the legal steps

The same rule looks different to a partner, a supplier and an employee.

The first section ends with a recap of the idea and the base.

Partners differ in what they give and in how much they do.

A sleeping partner provides money but does not manage.

Sleeping partner. A partner who supplies capital and shares profit but takes no active part in running the business.

A nominal partner only lends a name to the business.

A limited partner risks only the money invested, where the law allows it.

it sets a maximum. In Bangladesh the maximum is 20 partners, or 10 in banking.²

The rule of mutual agency looks different from each viewpoint. A partner gains a colleague who can act when he or she is absent, but also accepts the risk of the colleague's mistakes. A supplier gains security, because the supplier can ask any partner to pay. An employee should know that any partner may give instructions for the business, so the employee may need to ask which partner decides a matter. Each viewpoint explains why partners must choose each other with care.

Before moving on. A partnership is a business owned by two or more people who agree to share its profit. Its base has four features: an agreement, a business, the sharing of profit and mutual agency. The partnership deed records the agreement in writing. Because of mutual agency, each partner can bind all the others.

8.2 KINDS OF PARTNER AND PARTNERSHIP

Return to the two friends and the stall. Suppose that a retired neighbour, who has savings but no time to serve customers, wishes to join them. Should the neighbour be a partner in the same way as the friends? The law allows partners of several kinds. An active partner supplies capital, usually, and also manages the business every day. The neighbour in our example could be a different kind of partner.

A **sleeping partner** is a partner who supplies capital and shares profit but takes no active part in running the business. The neighbour in our example would be one. Sleeping partners are useful because they bring money without needing a daily role. They are not free of risk, however. Where the law gives every partner unlimited liability, as the Partnership Act 1932 does in Bangladesh, a sleeping partner answers for the debts of the business to the same extent as an active partner. Mutual agency also still applies, so the acts of the active partners bind a sleeping partner.

A nominal partner lends a name to the business, perhaps because the name is respected. This person supplies no capital, receives no profit and takes no part in management. Outsiders who trusted the name may still hold the person liable for the debts of the business, because the person allowed them to believe that he or she was a partner.

A limited partner is a partner whose liability for the debts of the business stops at the capital that the partner has invested. Such a partner may not manage the business. In many laws, a limited partner who does manage loses the protection. Some countries allow this kind of partner; the United Kingdom does so under its Limited Partnerships Act 1907.³ The Partnership Act 1932 of Bangladesh makes no provision for it, so in Bangladesh every partner has unlimited liability. Always ask which law applies before you accept

² This limit comes from the Companies Act 1994 of Bangladesh. Other countries set different limits, and some set none for certain professions.

³ Other countries have their own laws on limited partners. The rules for registration and for the partner's role in management differ, so read the law of the place concerned.

amounts owed to publishers Tk 1,150,000 and a bank loan Tk 600,000, total Tk 1,750,000. The profit of Tk 750,000 for 2025 belongs entirely to him. One trade licence is kept current for the shop.

The table below sets out the debts in the record. Read each row as one debt and the last row as their total.

DEBTS OF MEGHNA AND SONS ON 1 JANUARY 2026

DEBT	AMOUNT (TK)
Owed to publishers	1,150,000
Bank loan	600,000
Total debts	1,750,000

Question. Using the record, what does the sole proprietorship mean for the owner's profit, his liability and his licence?

Reasoning. First we check the total. Add the two debts: 1,150,000 + 600,000 = Tk 1,750,000. This equals the total in the record. Second, we compare the debts with the capital. Divide the debts by the capital: $1,750,000 \div 4,100,000 = 0.43$, which is 43 per cent when rounded to a whole number. The debts are therefore a little less than half of the capital. Third, we apply the three features. The profit of Tk 750,000 belongs to the owner alone. The liability is unlimited, so the debts of Tk 1,750,000 are his duty to pay. The single licence covers the single shop, and it must stay current.

Conclusion. The owner keeps the whole profit of Tk 750,000 and has full control. In return, he is personally answerable for the debts of Tk 1,750,000, and the law may reach his personal wealth if the business cannot pay. The record does not state how much personal wealth he has, so we cannot say whether he could pay. The licence is current, so the shop may trade lawfully.

Check. The sum agrees with the total in the record. The ratio of 0.43 is below one, which is sensible, because the debts are smaller than the capital. If the ratio were above one, the debts would exceed the capital and the risk to the owner would be greater.

* * *

SUMMARY

A business may be owned in one of several forms, and the right form depends on money, control, risk and size. The economy has a private sector and a public sector. A sole proprietorship is a business owned and run by one person, who keeps all profit and bears all losses. Its main features are full control, all profit, ease of formation and unlimited liability. The owner usually needs a trade licence, keeps records and limits the risk he takes. A growing business often changes its form.

THINK IT THROUGH

Questions 7.t1 and 7.t2 use the case file in the worked section.

The table puts the debts of the case file in one place.

The question asks what the form means for the owner's gain and risk.

Reasoning starts with the total of the debts, then compares it with capital.

The conclusion gives the owner's gain, his risk and his duty.

The check compares the sum with the record and tests the sense of the result.

The summary lists the main ideas of the chapter.

The questions below change

A signed order that one owner never saw leads to the central question of this chapter.

You will need: Chapter 7, 'Forms of Business Ownership and the Sole Proprietorship', section 7.2 'The Sole Proprietorship', and section 7.3 'Formation and Management'.

Most people answer the question wrongly at first, and the correct answer explains the chapter.

One owner has limits, so many owners ask what would change if someone joined them.

Recall: sole proprietorship, Chapter 7, section 7.2 'The Sole Proprietorship'.

Joining brings questions that a sole owner never faces.

The chapter moves from the idea, to the kinds of partner, to the rules, to a comparison.

Joining owners together solves problems that one owner cannot solve alone.

A partnership is an agreement among owners to run a business and share its profit.

Partnership. A business owned by two or more people who have agreed to run it together and share its profits.

Suppose that you and a friend own a bookshop together. On a Monday morning your friend, without telling you, signs an order for several hundred books from a supplier. You think the choice of books is poor. The supplier delivers the order, and the bill arrives on Friday. Who must pay it? Your friend alone? The business? Or you as well, even though you never saw the order?

Many students expect that only the person who signed is bound. The law of partnership gives a different answer. The reasons for that answer explain nearly everything that follows, so keep the question in mind as you read.

Chapter 7 described the sole proprietorship, where one owner decides everything and answers for everything. That arrangement is simple, but it has limits. One person has only so much money to invest. One person has only so many skills and only so many hours in a day. When the owner is ill or away, the business may stop. Many owners therefore ask a natural question: what if someone joined me?

A second owner brings new problems. Who decides when two owners disagree? How is profit divided when one person invests more money and the other works longer hours? What happens when one person wishes to leave, or dies? And, as our opening question shows, who answers to outsiders for what one owner does? This chapter answers these questions in order.

First we describe the partnership and the agreement on which it rests. Then we study the kinds of partner and the kinds of partnership. Next we examine the rights and duties that the law gives to partners, the sharing of profit and the ending of a partnership. Last, we compare the partnership with the sole proprietorship. A case file, a worked case and a true story from history will help to fix each idea.

* * *

8.1 IDEA AND BASE OF PARTNERSHIP

Think of two friends who share a market stall. One has savings, and the other has a talent for selling. Alone, neither can keep the stall open every day. Together they can. They agree to share the work and to share whatever money the stall earns. Without using the word, they have formed the arrangement that this chapter studies.

The law gives the name **partnership** to this arrangement. A partnership is a business owned by two or more people who have agreed to run it together and to share its profits.¹ Each owner is called a partner. Everyday speech also uses the words firm, enterprise and concern for such a business; this book always says business. A partnership belongs to the private sector, because private

¹ In Bangladesh the Partnership Act 1932 governs partnerships and defines them in much the same way. The Partnership Act 1890 of the United Kingdom speaks of persons carrying on a business in common with a view to profit. Laws differ between countries, so always check the law of the place where the business operates.

7.4 Explain why a small, personal business, such as a barber's shop, suits a sole proprietorship but a power station does not.

7.5 What is a trade licence, and what may happen to a shop that trades without one?

7.6 Explain why a sole proprietor should keep business money apart from his own spending.

issues a certificate of incorporation, which is a document that proves the company exists. From the date of that certificate the company is a separate legal person. A private company may now begin business.

A public company that wishes to raise money from the public takes a fourth step. A **prospectus** means a published invitation to the public to buy shares or debentures, which describes the company and its risks. A debenture is a loan to the company, recorded in a certificate. A prospectus usually states the name and objects of the company, its directors, the number and price of the shares offered, the use of the money, the risks, and how to apply.³

The fifth step applies to the public company only. After the public has subscribed for shares, the company applies for a certificate of commencement, a document that allows a public company to begin business once the Registrar is satisfied that the legal conditions are met. These conditions include that a minimum number of shares has been taken by the public. Only then may the company begin its business and use the money raised.

Before moving on. Promoters conceive the company and prepare the memorandum and the articles. The Registrar registers the company and issues a certificate of incorporation. A public company then issues a prospectus, collects the money for shares, and obtains a certificate of commencement. A private company may begin business after registration.

* * *

9.4 IS THE COMPANY THE BEST FORM?

The company offers limited liability, a continuing life, large amounts of money and shares that can be sold. These are real advantages, but each has a price. Registration needs fees and documents. A company must keep proper accounts, file reports with the Registrar, and obey rules about meetings. A public company must also publish more information. A small shop owner who needs none of the four advantages may reasonably remain a sole proprietor or a partner, and that choice is not a failure of ambition.

A company with hundreds of shareholders cannot be managed by all of them together. The shareholders therefore choose directors, who direct the affairs of the company and appoint managers for daily work. This is management by directors. The shareholders keep the right to vote on major matters and to choose or remove directors at meetings, usually held once each year.

In a large company the owners, who are the shareholders, are not the same people as the controllers, who are the directors and managers. This is the separation of ownership and control. It brings skill, because experts may manage, but it brings a risk: controllers may serve their own interests instead of the owners'. Meetings, published accounts and independent checks of the accounts

³ In Bangladesh, public offers of shares are also regulated by the Bangladesh Securities and Exchange Commission, which examines the offer before it reaches the public.

A prospectus invites the public to buy shares or debentures.

Prospectus. A published invitation to the public to buy shares or debentures, describing the company and the risks.

The certificate of commencement lets a public company begin business.

Before moving on: the five steps in one paragraph.

Each form of business has a price as well as a benefit.

Directors manage the company on behalf of the owners.

Owners and controllers may be different people with different aims.

A quota limits the quantity of an import instead of raising its price.

A short table sets the two tools side by side.

Some governments use state enterprises to control the import of essential goods.

Recall: State enterprise, Chapter 11 'State Enterprise and Comparing the Forms', section 11.1 'Why Government Owns Businesses'.

Agreements and bodies lower barriers by making rules that many countries accept.

Foreign trade matters greatly to Bangladesh because it earns foreign money and supplies needed goods.

The section ends with the main points on regulating trade.

tariff may answer with its own tariff, and both countries then trade less. A tariff is therefore a trade-off, not a free benefit.

A quota is a limit on the quantity of a good that may be imported in a period. For example, a government may allow only 50,000 tonnes of sugar to enter in one year. Once the limit is reached, no more may enter, whatever the price. A tariff works through price, while a quota works through quantity. A quota raises price only indirectly, because a limited supply makes the good scarce. A quota by itself raises no tax, unlike a tariff.

The table sets the two tools side by side. Read each row across, from the feature to the answer for a tariff and for a quota.

TARIFF AND QUOTA COMPARED

FEATURE	TARIFF	QUOTA
What it controls	The price of imports	The quantity of imports
Who collects money	The government, as tax	Usually nobody
Effect on price	Rises directly	Rises because supply is limited

A third tool is direct. A government may give one state enterprise the task of importing an essential good, such as a grain or a fuel, in large amounts, so that supply stays steady and the price stays under control. The state enterprise may be a public corporation with its own board, or a departmental undertaking run inside a ministry. Chapter 11 explains why governments own businesses. Here we note that they can also act as traders.

Countries also reduce barriers by agreement. A trade agreement is a set of rules that two or more countries accept, such as lower tariffs on each other's goods. The European Union is a well-known example: its member countries charge no tariffs on trade among themselves. On a larger scale, the World Trade Organization began on 1 January 1995 and has its headquarters in Geneva. It provides rules, and a place to settle disputes, for most of the world's trade.³ Bangladesh has been a member since the start.

Foreign trade is important to Bangladesh for three reasons. First, exports earn foreign money and give work to many people; ready-made garments are the largest export, by a wide margin. Second, imports supply goods that the country cannot easily make, such as fuel, machinery, raw cotton and food grains. Third, money sent home by Bangladeshis who work abroad adds greatly to the money flowing in. Dependence has a risk: a country that sells mostly one good is exposed when customers abroad buy less of it. Owners, managers and employees all feel these changes.

Before moving on. A tariff taxes imports and raises their price, and a quota limits their quantity. Governments may also use state enterprises, and countries make agreements and join bodies such as the World Trade Organization. For Bangladesh, foreign trade earns foreign money, supplies needed goods and brings in money from workers abroad.

³ The World Trade Organization replaced an older arrangement, the General Agreement on Tariffs and Trade, which began in 1947.

because it costs money and effort, and because ownership and control may separate.

THINK IT THROUGH

9.T1 Two sisters run a bakery as a partnership with six staff. They want to borrow money from a bank and to expand to a second shop. List one reason for and one reason against converting the bakery into a company, using limited liability in both.

9.T2 Should the bakery become a private limited company or a public limited company? Give your reasoning in four sentences.

WHERE PEOPLE GO WRONG

Many students believe that limited liability means a company does not have to pay its debts. This is wrong. The company must pay its debts from its own wealth. Limited liability only means that the owners are not forced to pay them from their personal wealth, apart from the exceptions in this chapter.

Another common error is to say that a shareholder owns the shop, the stock and the building. The company owns these, because the company is a separate legal person. The shareholder owns shares, which are claims on profit and votes in decisions.

A third error is to think that every company is large, or that a public company is owned by the government. A company may have two owners and a single shop. A public limited company is public because it may invite the public to buy shares, and not because the state owns it.

IN HISTORY

In 1602 merchants of the Dutch Republic formed the Vereenigde Oostindische Compagnie, known in English as the Dutch East India Company, and in short as the VOC. Voyages to Asia were costly and dangerous, and a single lost ship could ruin one merchant. The founding charter allowed the residents of the Republic to buy shares, with no fixed upper or lower amount, and the first public sale of shares took place in August 1602. Many investors therefore held small parts of the risk, and the company is often described as the first whose shares were openly traded and held by many investors.

Investors in the VOC could leave the company without waiting for the ships to return. They sold their shares to others in Amsterdam, where buyers and sellers soon gathered to trade, and in 1611 a building for this trade was opened in the city. The voyages and the company continued while the owners of the shares changed. This is the same idea that this chapter described: a business that continues, with parts that owners can sell.

REVIEW QUESTIONS

9.1 State two ways in which a company differs from a partnership.

Limited liability does not mean the company never pays its debts.

A shareholder owns shares, not the company's property.

A company can be small, and a private company is not owned by the state.

The Dutch East India Company shows why shares for many investors were invented.

Selling shares in Amsterdam let investors leave without ending the company.

* * *

12.2 MEASURING FOREIGN TRADE

Goods and services need separate names, because they are counted in different ways.

The two kinds of trade differ in what is traded and how it is counted.

A foreign visitor who pays for a hotel room buys an export of a service.

The balance of trade compares the value of goods sold abroad with goods bought abroad.

Balance of trade. The difference in value between a country's exports and imports of goods over a period.

Balance. Word in use. In daily life, the money left in a bank account. Here, the gap between two totals.

A deficit is not always bad, and a surplus is not always good.

Governments want to know how much a country buys and sells abroad. The first step is to separate what is traded into two kinds. Visible trade is the trade in goods: things you can see, touch and count as they cross the border, such as books, tea, garments and wheat. Invisible trade is the trade in services: work done for a customer that leaves no object, such as shipping, insurance, banking and tourism. A ship from Chattogram carries garments, which are visible trade. The freight charge that the ship's owner earns for carrying them is invisible trade.

The table below compares the two kinds. Read each row from left to right: the first cell names the feature, and the next two cells give the answer for visible trade and for invisible trade.

VISIBLE TRADE AND INVISIBLE TRADE COMPARED

FEATURE	VISIBLE TRADE	INVISIBLE TRADE
What is traded	Goods you can touch	Services you cannot touch
Examples	Books, tea, garments, wheat	Shipping, insurance, banking, tourism
How it is counted	Customs officers count the goods at the border	Banks and statistics offices record the payments

Many students find it strange that a service can be an export, because nothing visible leaves the country. The definition of export covers services as well as goods. A visitor from abroad who pays for a hotel room in Cox's Bazar buys a service from Bangladesh. Money comes into the country, as it does when a foreign customer buys tea, although no object crosses the border. So the visitor's payment is an export of a service, and it belongs to invisible trade.

Once goods are counted, we compare the two directions. The **balance of trade** is the difference in value between a country's exports and imports of goods over a period. Suppose a small country exports goods worth 100 units of money in one year and imports goods worth 130 units. The balance is 100 minus 130, which is minus 30. We call this a deficit of 30. If exports were larger than imports, the balance would be a surplus. Services are not counted here, because the definition covers goods only.

A deficit sounds like a loss, but the picture is more complex. A country that is building factories must import machines before it can export anything. Its deficit then pays for future earnings. A surplus can also hide a weakness: a country that sells much abroad but buys little may leave its own customers short of goods. Judge the balance of trade together with the reasons for it, and with the other money flows described next. A single business can keep such

Two earlier chapters give the ideas that this chapter builds on.

Everyday objects come from many countries, so where do they come from?

A country that makes everything best seems to need nothing from others.

A busy doctor gains by hiring a slower typist, and the same logic applies to nations.

Nations face the same choice, because every country has limited workers, land and machines.

Foreign trade is buying and selling across a national border.

Recall: trade, Chapter 1 'What Business Is', section 1.2 'Trade, Commerce and Industry'.

Foreign trade. The buying and selling of goods and services between people or firms in different countries.

Trade. Word in use. In Chapter 1, trade means buying and selling. In this chapter it also names the whole flow of goods between countries.

Exports leave a country; imports arrive in it.

Export. A good or service

YOU WILL NEED

Chapter 1 'What Business Is', section 1.2 'Trade, Commerce and Industry'; Chapter 11 'State Enterprise and Comparing the Forms', section 11.1 'Why Government Owns Businesses'.

Examine the things on your desk. Perhaps there is a pen, a phone and a shirt. Ask where each one was made. The pen may come from one country, the parts of the phone from three others, and the cotton of the shirt from a fourth. Very few people live only on goods made inside their own country. The question is why.

This question troubled thinkers for centuries. Imagine a country that grows better wheat, weaves better cloth and brews better tea than every other country. Would it still gain by buying goods from abroad? Most people first answer no. If you are the best at everything, you need nothing from anyone. The answer feels sensible. It is wrong, and the reason is worth discovering slowly.

To see why, begin with a smaller case. A doctor in Dhaka types faster than her assistant. She could type every letter herself. She does not, because each hour of typing is an hour she cannot spend treating patients, and her patients value that time far more. She gains by leaving the typing to her assistant, although he types more slowly than she does.

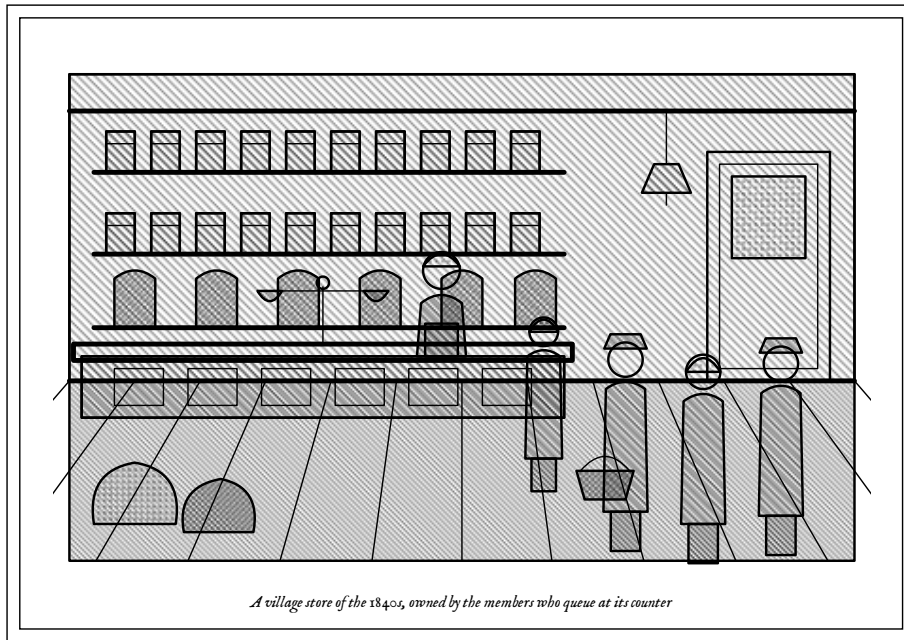
Nations face the same choice. Each has a limited number of workers, a limited amount of land and a limited number of machines. An hour of work spent on one good is not spent on another. This chapter shows how that plain fact explains why nations trade, how we count the trade, and why governments watch it closely. We follow one running case, a bookshop that both buys and sells across a border.

* * *

12.1 WHY NATIONS TRADE

Chapter 1 explained trade as buying and selling. Most of it happens inside one country, between a shop and the people who live nearby. This chapter follows the trade that crosses a border. **Foreign trade** is the buying and selling of goods and services between people or firms in different countries. A bakery in Dhaka that buys wheat from a farmer in another country takes part in foreign trade.

Foreign trade runs in two directions, and each direction has its own name. An **export** is a good or service sold to a buyer in



CHAPTER X

The Cooperative Society

What if the customers owned the shop?



Most businesses are owned by people who hope to earn a profit from other people's needs. A cooperative society turns this around: the people who have the need own the business, each with one vote. This chapter explains the idea, its four common kinds and the way a cooperative is formed, managed and shared out.

flour from the cooperative is also an owner of the cooperative, and so a good price for the member is the aim of the business and not a cost to it.

A **cooperative principle** is a basic rule of cooperatives, such as open membership, one vote per member and fair sharing of what remains after costs. A later section names that remainder and explains it: see section 10.3 'How a Cooperative Operates'. The first principle is open membership, which means that anyone with the need may join, whatever the person's wealth, religion or position. The second is control by members, which means that members decide, not outsiders. The third is fair sharing of the gain. The fourth is education: a society teaches its members how to run it. These rules came from a real shop, whose story ends this chapter.

PAUSE AND CHECK 10.P1 Name two cooperative principles and say what each one protects.

The idea rests on self-help. Members do not wait for a rich owner or for government to solve their problem; they solve it themselves, and they accept that the solution needs effort from each person. A member must pay for a share, attend meetings, buy from the society where possible and accept the decisions of the majority. A cooperative whose members expect others to do the work will weaken. This is why education is a principle: people must learn how to run a business before they can own one together.

The most distinctive principle is *one member one vote*. It means that every member has exactly one vote, however much money the member put in. In a company, a person who holds many shares holds many votes. In a cooperative, a person who holds ten shares and a person who holds one share each have one vote. The reason is fairness: a cooperative is a union of people, not of money. A wealthy member cannot buy control from poorer members.

The rule has limits that a careful reader should notice. A cooperative needs money, and members usually pay for shares to provide it. The number of shares a member may hold is often limited, so that no person gains great power. The vote protects small members from large ones, but it does not ensure that members attend meetings or decide wisely. A cooperative with many members who never vote may be run by a few active people. Equal votes are a protection, not a guarantee of good management.

Before moving on. A cooperative society is a business owned and run by members who join to meet a common need, each with one vote. Cooperative principles are the basic rules that guide it: open membership, control by members, fair sharing of the gain and education. One member one vote means every member has one vote whatever the number of shares held.

Rules called principles guide how cooperatives are run.

Cooperative principle. A basic rule of cooperatives, such as open membership, one vote per member and fair sharing of surplus.

Self-help is the spirit behind the idea, and it asks for effort from every member.

Each member has one vote, whatever the number of shares held.

One member one vote protects the weak but does not remove all difficulty.

Before moving on: this section gave three ideas.

Cooperatives differ by the need that brings the members together.

10.2 KINDS OF COOPERATIVE

Members join a cooperative because of a need, and the need decides the kind of cooperative. Four kinds are common in most countries. A fifth set of kinds exists for housing, farming and other needs, but the four below show the main ideas. For each kind we

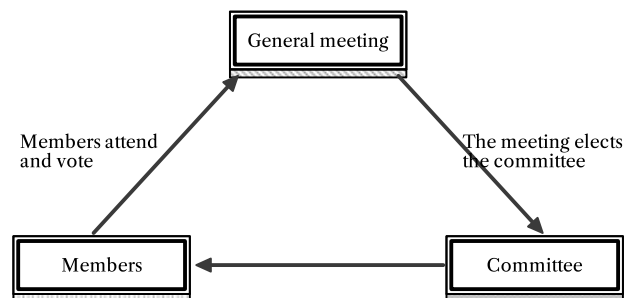
10.3 HOW A COOPERATIVE OPERATES

Imagine that twenty bookshop owners agree to buy paper together. How do they begin? A cooperative is formed by people who share a need, who agree on a purpose and on rules, and who pay for the first shares. Most countries then require registration with a government office. In Bangladesh the law is the Cooperative Societies Act, and societies are registered with a government registrar of cooperatives.³ Registration gives the society legal standing: it may own property, sign contracts and sue, as a person may.

Registration also decides the liability of the members. In most countries, including Bangladesh, a registered cooperative gives its members limited liability, which means that a member can lose no more than the money paid for shares. This is different from a sole proprietorship, where liability is unlimited. A member who owns ten shares of Tk 1,000 may lose at most Tk 10,000 if the society fails. The law of each country must be checked, because a few types of society have a different rule.

How does a society with many members make decisions? It cannot ask every member about every matter. Instead, all members meet at least once a year in a *general meeting*, where each has one vote. The meeting approves the accounts, decides large questions and elects a *management committee*, a small group of members who direct the society between meetings. The committee appoints a manager and staff to do the daily work. The sketch below shows how authority moves in a ring: the members form the meeting, the meeting elects the committee, and the committee answers to the members.

To read the sketch, start with the box for the members at the lower left. An arrow runs from the members to the box for the general meeting at the top, because the members attend the meeting and vote. A second arrow runs from the meeting to the box for the committee at the lower right, because the meeting elects the committee. A third arrow runs back from the committee to the members, because the committee serves them and reports to them. Authority therefore returns to where it began.



³ The Cooperative Societies Act of 2001 is the law in Bangladesh, with later amendments. Rules on the number of members, the share capital and the permitted purposes differ by country and change over time, so check the current law before relying on any figure.

Formation is easier than for a company but follows steps set by law.

Members of a registered society usually have limited liability.

The members govern through a general meeting and a committee they elect.

The sketch is a ring with three parts, and each arrow shows one act of authority.

needed to cover those 12 days. Suppose that the shop uses paper evenly through the year. Then it uses $3,000 \div 365$, about 8.2 reams a day. Over 12 days it needs about $12 \times 8.2 = 99$ reams more in stock. At Tk 520 a ream, this stock costs about Tk 51,500.

Conclusion. The state press saves Tk 120,000 every year. The extra stock ties up about Tk 51,500 once, and it needs shelf space. The saving is larger, so the state press is the better choice on cost. The shop should still keep some orders with the private supplier, because an average delivery of 18 days hides late deliveries, and a late delivery could cost sales.

Check. The saving of Tk 120,000 agrees with the case file. A second test: the price difference is Tk 40 a ream, and $Tk\ 40 \div Tk\ 560$ is about 7 per cent of the private price. A saving of 7 per cent on 3,000 reams is a sensible size.

* * *

SUMMARY

A state enterprise is a business owned or controlled by government, usually to provide essential goods or services. Governments create or nationalise businesses to serve all, to find capital, to protect security, to prevent unfair prices and to develop regions. The main forms are the departmental undertaking, the public corporation and the government company. Each form needs a balance of control and accountability. State enterprises should be judged on purpose and on cost. All five forms differ in owner, liability, life and control.

THINK IT THROUGH

Suppose that a government owns a bus service. It loses money every year. Fares are low, the staff are many, and some routes serve remote villages. A minister proposes to sell the service to a private company. This case is invented, to practise the ideas of the chapter.

11.T1 Give two reasons for keeping the service in government hands and two reasons for selling it.

11.T2 Suggest one way to keep the village routes while reducing the yearly loss.

11.T3 Which form of state enterprise would give the bus managers the most freedom, and why?

WHERE PEOPLE GO WRONG

Some readers think that a state enterprise exists chiefly to earn profit, like a private business. This is wrong. Its main purpose is usually to provide an essential good or service, although it may also earn money.

Some readers think that nobody owns a state enterprise, so nobody answers for it. This is wrong. Government owns it on

The conclusion weighs the yearly saving against the one-time stock.

The check tests the saving in a second way.

A short summary of the chapter.

The problem asks you to weigh keeping against selling an invented bus service.

Mistake one: a state enterprise exists to make profit.

Mistake two: nobody owns or answers for a state enterprise.

* * *

A WORKED CASE: A BUYING COOPERATIVE FOR DHAKA BOOKSHOPS

A worked case applies an idea to a situation. It has five parts: the situation, the question, the reasoning, the conclusion and a check. We apply the ideas of this chapter to one case file.

Case file, illustrative. Proposal, 2026. Twenty-two independent bookshops in Dhaka propose to form a buying cooperative. Meghna and Sons would hold 10 shares of Tk 1,000 each, a total of Tk 10,000. The shop's paper and stationery purchases are Tk 2,400,000 a year. The expected bulk discount is 12 per cent, which is Tk 288,000 a year.

The table below lists the figures of the proposal. Read each row as one item, with its amount in taka.

FIGURES IN THE PROPOSAL FOR MEGHNA AND SONS

ITEM	AMOUNT (TK)
Cost of 10 shares at Tk 1,000 each	10,000
Paper and stationery purchases a year	2,400,000
Expected discount, 12 per cent	288,000

Question. What does Meghna and Sons gain from the proposal, what does it risk, and what control does it hold?

Reasoning. First we check the discount. Multiply the yearly purchases by the rate: $2,400,000 \times 0.12 = \text{Tk } 288,000$. This agrees with the record. After the discount, the shop would pay $2,400,000 - 288,000 = \text{Tk } 2,112,000$. Second, we compare the gain with the money put in. The shares cost $10 \times 1,000 = \text{Tk } 10,000$, so $288,000 \div 10,000 = 28.8$. The expected yearly discount is nearly 29 times the cost of the shares. Third, we compare it with the profit of Tk 750,000 for 2025: $288,000 \div 750,000 = 0.384$, which is 38 per cent when rounded to a whole number.

Fourth, we turn to risk and control. If the cooperative is registered with limited liability, the most the shop can lose on the shares is Tk 10,000, since a member's loss is limited to the money paid for shares. This is very much smaller than the possible gain. On control, the shop would hold one vote among twenty-two members, as each member has one vote, though it holds 10 shares. The shop could not outvote the other shops, and it could not be outvoted by shops that hold more shares.

Conclusion. On the figures given, the proposal offers a large expected gain for a small sum at risk, and the shop keeps an equal voice. The record states that the discount is expected, not certain. It does not state who would manage the cooperative, how the surplus would be shared or whether the shop would be required to buy all its paper through it. These facts should be known before the shop joins.

Check. Divide the discount by the purchases: $288,000 \div$

A worked case applies the ideas to a recorded proposal and is not a model answer.

The situation is a proposal for twenty-two bookshops to buy together.

The table lists the figures of the proposal in order.

The question asks what the proposal offers the shop, and what the shop must give.

Reasoning begins by checking the discount, then compares it with the money put in.

The risk and the control of the shop come from the form, not from the figures.

The conclusion weighs the gain, the risk and the limits of the record.

The check repeats the

The case file shows a gain in price and a cost in time.

A customer, a taxpayer and a manager read the same price differently.

Supporters and critics of state enterprise each have a case.

The third section ends with a recap of judgement, causes of loss and the case for and against.

A table sets all five forms side by side on owner, liability, life and control.

The case file shows both a gain and a cost. The price is lower at the state press. The case file does not say why, and the reason might be government support or a price fixed for a public aim. The delivery is slower, so the shop must hold more stock or wait. The worked case at the end of the chapter weighs the two.

A customer such as Meghna and Sons gains from the lower price. A taxpayer may ask whether the press sells below its cost and whether taxes cover the difference. A manager of the press may ask whether the price allows the press to keep its machines in repair. The case file does not give these facts, so we cannot answer. The questions show how to judge a state enterprise.

The case for state enterprise rests on the reasons in section 11.1: service to all, large capital, security, fair prices and development. The case against it rests on the causes of loss above. Critics say that state enterprises waste public money, that taxpayers pay for their losses and that politicians use them to give favours. Supporters answer that the fault lies in the management and not in the form, and that some state enterprises have performed well. The evidence differs between countries and between enterprises. Some governments have therefore kept certain enterprises and sold others to private owners, which is called privatisation, the opposite of nationalisation.

Before moving on. A state enterprise should be judged on its purpose and on its cost. Losses arise from low prices, political orders, weak incentives, slow decisions, lack of competition and unclear aims. Supporters and critics both have arguments, and the evidence differs by country and by enterprise.

11.4 COMPARING ALL THE FORMS

We can now compare every form studied in Chapters 7 to 11. The table below uses four questions. Who owns the business? How far do the owners answer for its debts? How long does it last? Who holds control? Read each row to see one form complete.

THE FIVE FORMS COMPARED

FORM	OWNER	LIABILITY	LIFE	CONTROL
Sole proprietorship	One person	Unlimited	Tied to the owner	The owner
Partnership	Two or more partners	Unlimited	May end when a partner leaves or dies	The partners, each acting for all
Company	Shareholders	Limited to the value of the shares	Continues when shareholders change	Directors chosen by shareholders
Cooperative society	Members	Usually limited to the share held	Continues when members change	Members, one vote each

the ground floor of a warehouse at 31 Toad Lane. On 21 December 1844 they opened a store selling basic goods such as butter, sugar, flour, oatmeal and candles.

The Pioneers drew up rules that differed from earlier shops. Any customer could become a member and an owner. Each member had one vote. Goods were sold at honest quality for cash, and the gain was returned to members as a dividend in proportion to their purchases. By the end of the first year they had about eighty members. The International Co-operative Alliance, a world body of cooperatives, later adopted principles based on these rules, in 1937 and again in 1995. The case shows that people with little money, by agreeing fair rules, can own a business together.

REVIEW QUESTIONS

- 10.1 Explain cooperative society in your own words and give one example.
- 10.2 Compare a cooperative with a company on four points: purpose, voting, return to owners and liability.
- 10.3 State three cooperative principles and explain what each protects.
- 10.4 Describe the four kinds of cooperative and name one need that each meets.
- 10.5 Explain how the members, the general meeting and the committee relate to one another.
- 10.6 Explain what a surplus is and describe two ways in which a cooperative may use it.

The pioneers wrote rules that gave every member a voice and a share of the gain.

The questions below ask the reader to apply the chapter.

The strength of this form is direct control, and its weakness is rigid management.

A public corporation is a state enterprise set up by law with its own managers and accounts.

Public corporation. A state enterprise set up by law as a separate body with its own managers and accounts.

A government company is an ordinary company in which government holds most of the shares.

Control. Word in use. In daily life, to guide or limit something. In business, the power to decide policy and appoint managers, usually through owning most of the shares.

A public corporation differs from a company because it has no shareholders.

A table compares the three forms on law, management, money and separation.

existence in law, so the government itself owns its property and answers for its debts.

The strength of this form is control: the government can direct the enterprise at once, and its accounts are open to the elected assembly that makes the laws. The weakness is rigidity. A manager may need permission from a government office to spend money or to hire a person. Decisions are therefore slow, and managers have little freedom to respond to customers.

A **public corporation** is a state enterprise set up by law as a separate body with its own managers and accounts. The law states its aims, its powers and its rules. Government supplies the capital and appoints a board to manage it. The corporation can make contracts, own property and be sued in its own name. It may keep its earnings and may hire staff on its own terms. This freedom is meant to give the speed of a private business and the aims of a public service. The Tennessee Valley Authority, described in the history section, is a famous example. In Bangladesh, the Bangladesh Petroleum Corporation was created by law in this way.²

The third form is the government company. It is registered under the company law, like the companies of Chapter 9, but government holds most of its shares. Government therefore has control through its votes at the general meeting, and it appoints the directors. The company keeps the usual features of a company, such as limited liability and a separate existence in law. A few shares may belong to private persons. In Bangladesh, a government-owned bank such as Sonali Bank Limited is registered as a company in this way.³

A student who has studied Chapter 9 may ask how a public corporation differs from a company. The difference lies in ownership and aim. A company has shareholders, who own it and share its profit. A public corporation has no shareholders. Government is its only owner, and the public interest is its chief aim. A government company is closer to a private company in its legal form, but government holds most of its shares, so its aims follow the wishes of government.

The table below compares the three forms on four points: the law that creates them, who manages them, where their money comes from, and whether they are separate bodies in law. Read each column to learn one form. Read each row to compare one feature across the forms.

THREE FORMS OF STATE ENTERPRISE

FEATURE	DEPARTMENTAL UNDERTAKING	PUBLIC CORPORATION	GOVERNMENT COMPANY
Created by	Government order or budget	A special law	The company law
Managed by	The ministry	Its own board	Directors appointed by

² The corporation was created by an ordinance of 1976. Check the current law of the place concerned, because the form of a state enterprise can change.

³ Sonali Bank Limited was converted into a company in 2007 and is owned by the government.

A business that loses money every year raises the central question of this chapter.

You will need: Chapter 7, 'Forms of Business Ownership and the Sole Proprietorship', section 7.1 'Choosing an Ownership Form'; Chapter 9, 'The Joint Stock Company', section 9.1 'What a Company Is'; and Chapter 10, 'The Cooperative Society', section 10.1 'The Cooperative Idea'.

The usual answer is that government owns them and has aims other than profit.

Earlier chapters studied private owners, and this chapter adds the last owner.

Recall: private sector, Chapter 7, section 7.1 'Choosing an Ownership Form'.

Suppose that a business loses money every year. A private owner would not wait long for a change. The owner would raise prices, reduce the service or close the business. Yet some businesses of this kind stay open for decades. A railway may carry passengers on a line that never earns enough to pay its costs. A post office may deliver a letter to a remote island at the same price as a letter across the street. Who keeps such businesses alive, and why?

The usual answer is that government owns them. A government does not need to earn profit in order to continue, because it can use money collected from taxes. It may also judge success by other tests, such as whether every citizen can travel, post a letter or obtain clean water. This chapter explains that choice. It asks why governments own businesses, what forms their ownership takes and whether the results justify it.

Chapter 7 divided ownership into the private sector and the public sector. Chapters 7 to 10 studied the private sector: the sole proprietorship, the partnership, the company and the cooperative society. This chapter studies the public sector, where government is the owner. In the last section we set all the forms side by side, so that you can compare them and judge which form suits which task.

* * *

11.1 WHY GOVERNMENT OWNS BUSINESSES

Think of a village well built by the village council. Everyone may draw water, and no one is turned away because he or she cannot pay. Now suppose that a private owner built the well to earn money. The owner would charge a price, and families that could not pay would go without. Both arrangements supply water, but they serve different aims. The first aims to serve all. The second aims to earn profit.

A **state enterprise** is a business owned or controlled by government, usually to provide essential goods or services. A national post service is one example, and a government-owned railway is another. State enterprises together form the public sector, in the same way that private businesses form the private sector.

A government has two routes to ownership. It may create a new business from the beginning, as it might build a new power station. Or it may take over a business that private owners already hold.

¹ The President's Order of 1972 on industrial enterprises began this process. Later governments sold or returned many of these businesses to private owners.

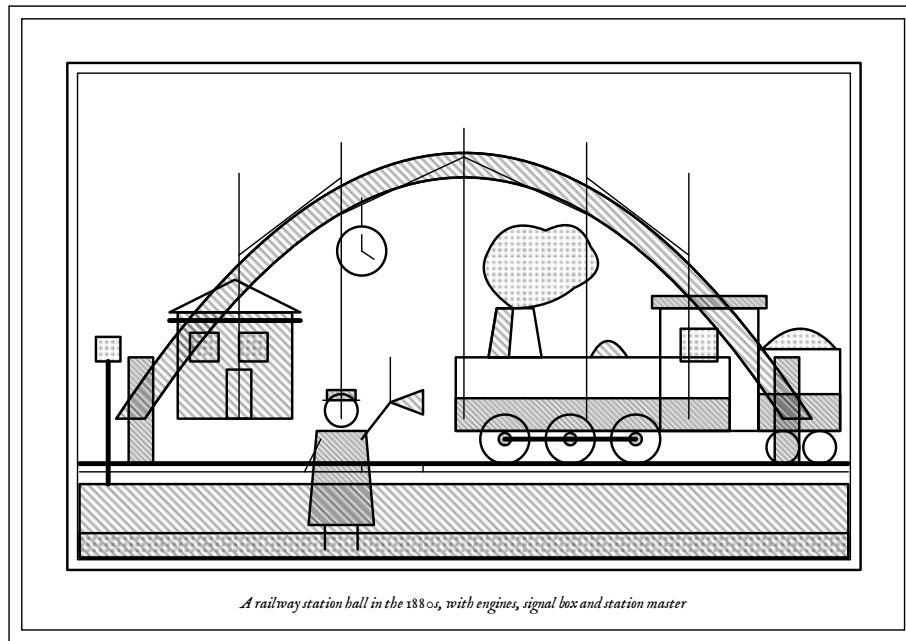
A village well shows why some services are provided for everyone.

A state enterprise is a business that government owns or controls.

State enterprise. A business owned or controlled by government, usually to provide essential goods or services.

Public. Word in use. In daily life, open to everyone, as in a public park. In business, owned or run by government, as in the public sector.

A government may become an owner by creating a business or by taking over a private one.



A railway station hall in the 1880s, with engines, signal box and station master

CHAPTER XI

State Enterprise and Comparing the Forms

Why does a government run a railway, and who gains?



This chapter explains why governments own and run businesses, and the forms that state ownership takes. It asks how such businesses should be judged. It closes by setting every form of ownership side by side for comparison.

A third error says that a country has a comparative advantage only where it is the best producer. Rina is better at sewing than Salim, yet Salim has the comparative advantage in shirts. Compare the costs inside each country.

A fourth error mixes two kinds of money. A student subtracts Tk 300,000 from USD 18,000 and obtains a meaningless number. Subtract in one kind of money, then convert once. Other common slips are a wrong sign and a forgotten period, such as a year.

A fifth error says that the foreign supplier pays a tariff. The importer pays it at the border and usually passes it to customers in the price. The foreign supplier is affected only if its price must fall to keep its sales.

IN HISTORY

David Ricardo was an English economist and a successful stock-broker. In 1817 he published *On the Principles of Political Economy and Taxation*. At that time Britain restricted grain imports by law, and Ricardo argued against such limits. To make his case, he used a small example of two countries and two goods: Portugal, known for its wine, and England, known for its cloth.

Ricardo imagined that in Portugal wine needed the labour of 80 men for a year, and cloth needed 90 men. In England cloth needed 100 men and wine needed 120 men. Portugal was therefore better at both goods. A reader who thinks like the opening puzzle would say that Portugal needs nothing from England.

Ricardo compared costs inside each country. In England, a unit of cloth takes 100 men for a year and a unit of wine takes 120, so England loses less than one unit of wine for each unit of cloth it makes. In Portugal, cloth takes 90 and wine takes 80, so Portugal loses more than one unit of wine for each unit of cloth. England therefore has the comparative advantage in cloth, and Portugal has it in wine. He concluded that England should export cloth and import wine, and that Portugal should do the reverse. Together the two countries would then produce more.

His numbers were chosen to teach, not measured from real workshops. Yet the idea has lasted more than two centuries. It helps explain why Bangladesh, with a large workforce, sells garments and buys machines, and why the shop in our case buys English-language titles from abroad.

REVIEW QUESTIONS

12.1 Classify each transaction as visible trade or invisible trade: (a) a Dhaka shop buys books from a publisher abroad; (b) a foreign visitor pays a hotel in Cox's Bazar; (c) Bangladesh sells tea to the United Kingdom; (d) a foreign shipping company charges freight to carry garments; (e) a Bangladeshi bank charges a foreign business a fee.

12.2 Suppose that in another year Meghna and Sons imported books worth USD 18,000 and sold Bangla titles worth USD 6,000. Find the balance of trade in US dollars and in taka at Tk 120 per US

Comparative advantage is about lower cost in other goods, not about being the best.

Dollars and taka must never be mixed in one subtraction.

The importer usually pays a tariff first, and the customer often pays it in the end.

David Ricardo's example of 1817 used English cloth and Portuguese wine.

Portugal could make both goods with less labour, yet trade still helped both countries.

Comparing costs inside each country shows who should make which good.

Ricardo's figures were imagined to teach an idea, not measured from real costs.

These questions climb from a familiar case to a case that combines earlier ideas.

The situation restates the plan in full.

The question asks about money, institutions and judgement.

Reasoning step one: the face value and the premium parts of the sum.

Reasoning step two: each institution has one task in the plan.

Reasoning step three: the subscription is small beside the profit.

Conclusion and check: the sums agree, and each institution has its task.

Summary of the chapter in a few lines.

Case file, illustrative. *Situation.* A plan of 20 October 2026 states that Meghna and Sons Limited considers an initial public offering of 200,000 shares at Tk 25 each. The face value is Tk 10 and the premium is Tk 15. The offer would raise Tk 5,000,000. The company also pays a trade body subscription of Tk 12,000 a year. The plan is illustrative only.

Question. How is the sum of Tk 5,000,000 made up? Which institution would approve the offer, which would list the shares, and who would handle later trading? Is the trade body subscription large or small beside the profit of Tk 750,000 reported for 2025?

Reasoning. We begin with the money. The price is Tk 25 for each share. For 200,000 shares the total is $200,000 \times \text{Tk } 25 = \text{Tk } 5,000,000$. The face value part is $200,000 \times \text{Tk } 10 = \text{Tk } 2,000,000$, and the premium part is $200,000 \times \text{Tk } 15 = \text{Tk } 3,000,000$. The price is $25 \div 10 = 2.5$ times the face value, and the premium is $15 \div 25 = 60$ per cent of the price.

Next we place the institutions. The offer is a sale in the primary market, because the company sells new shares and receives the money. The Bangladesh Securities and Exchange Commission, the regulator, would examine the offer and the prospectus before the public sees them. After the sale, the company would ask a stock exchange, such as the Dhaka Stock Exchange, to list the shares. Later, owners who wish to sell would use stock brokers, in the secondary market, and the company would receive nothing from those sales.

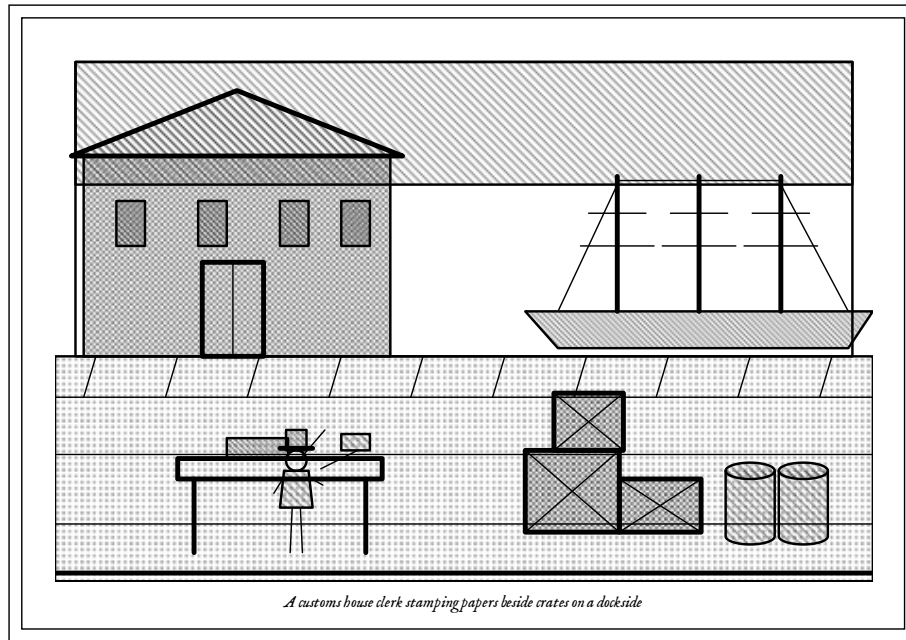
Now we judge the subscription. $\text{Tk } 12,000 \div \text{Tk } 750,000 = 0.016$, which is 1.6 per cent of the profit of 2025. This is a small share of profit. The benefit to the business cannot be counted as exactly as the fee, so the business must judge whether the contacts and the voice with the government are worth it. A figure alone does not decide the matter.

Conclusion. The offer would raise Tk 5,000,000, of which Tk 2,000,000 is face value and Tk 3,000,000 is premium. The Commission would approve it, the exchange would list the shares, and brokers would carry the later trading. The subscription is about 1.6 per cent of the profit of 2025. *Check.* $\text{Tk } 2,000,000 + \text{Tk } 3,000,000 = \text{Tk } 5,000,000$, which equals the amount in the case file. The check passes.

* * *

SUMMARY

A share market has a primary part, where a company sells new shares and keeps the money, and a secondary part, where owners sell to each other. A company first sells to the public in an initial public offering, and people buy and sell through licensed stock brokers. A stock exchange is the organised market, and the regulator, in Bangladesh the Securities and Exchange Commission, makes and enforces the rules to protect investors. Other bodies help trade and industry: FBCCI speaks for business, export processing zones and the Export Promotion Bureau promote exports.



CHAPTER XIII

Export and Import Procedure

Who trusts whom, when two strangers trade across a border?



Trade between countries needs more than goods and money. It needs a chain of steps and papers that protect a seller and a customer who have never met. This chapter follows an export from order to payment, an import from registration to release at the border, and the papers that travel with the goods. It ends with the barriers that block exporters and the ways Bangladesh promotes exports.

*Many bodies help a business;
four verbs hold them apart.*

*FBCCI is the apex body that
speaks for the private business
community.*

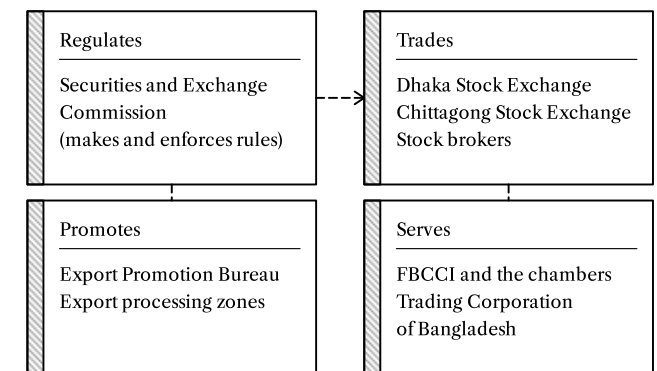
*A trade body costs its
members a subscription and
gives them a voice.*

cheating. Investor protection is the aim of these rules, and it does not remove risk.

* * *

15.3 BODIES FOR TRADE AND INDUSTRY

The institutions of Section 15.2 guard one market. A business also meets many bodies that help trade and industry in general. Some speak for businesses, some build the places where factories work, some guide exports, and some trade for the state. The figure that follows draws all of the institutions of this chapter on one map. Read it as four boxes. The box labelled *Regulates* holds the rule-maker, the box labelled *Trades* holds the market and its brokers, the box labelled *Promotes* holds the bodies that help exporters, and the box labelled *Serves* holds the bodies that speak for business or supply goods.



ed arrow: the regulator watches the market. Dashed lines below: help for bus

FIG. 15.1. *Institutions as a map of who regulates, trades, promotes and serves*

The first body in the *Serves* box is the Federation of Bangladesh Chambers of Commerce and Industry, called FBCCI. A chamber of commerce is an association of local businesses that act together. FBCCI is the apex body: it stands at the top, and the chambers and trade associations of the country are its members. It was established in 1973. It speaks for private business to the government, helps to organise trade fairs and training, and assists in settling trade disputes.³ Individual chambers, such as the Metropolitan Chamber of Commerce and Industry in Dhaka, which dates from 1904, serve their own members.

A business pays a subscription to join a trade body. A subscription is a regular fee for membership. In the running case, the file records a trade body subscription of Tk 12,000 a year, which is Tk 12,000 ÷ 12 = Tk 1,000 a month. The business receives information, contacts, a voice with the government and a place at trade fairs.

³ The Federation's own publications list its present functions and members. They change over time.

The first part is the export order and contract. An *export order* is a customer's request to buy goods, and it becomes a contract when the seller accepts it. A contract is a promise that the law will enforce. The contract should state the goods, the quantity, the price, the currency, the date of delivery, who pays the cost of transport and insurance, and the method of payment. A missing term causes disputes later. For example, if the contract names a price but not the currency, the two sides may argue whether the price is in taka or in dollars.

Before the contract is signed, the seller must be allowed to export. In Bangladesh an exporter is expected to hold a trade licence and to be registered with the government office that controls exports and imports.¹ The law also bans or limits the export of certain goods. A business therefore checks, before it accepts an order, that its goods are allowed to leave the country. The check costs little, and a refusal at the port costs a great deal.

The second part solves the puzzle of the opening. A **letter of credit** means a bank's written promise to pay an exporter on the customer's behalf once stated documents are presented. The customer asks its own bank to issue the letter; the bank lists the papers that the exporter must show, and agrees to pay when those papers arrive. For example, the Kolkata customer asks a bank in Kolkata to promise payment to the Dhaka bookseller. The bookseller no longer needs to trust a stranger, because the bookseller trusts a bank.

The rule of the letter of credit is strict: the bank pays only if the papers match the letter in every stated detail. The bank examines papers and not goods. A bank clerk in Dhaka cannot open the crates to count the books. This is the exception that surprises many students. A paper with a wrong date, a misspelt name or a quantity that differs from the letter gives the bank a reason to refuse payment, even when the goods are perfect. Exporters therefore read the letter carefully before they begin to pack.

PAUSE AND CHECK 13.P1 The bookseller holds a letter of credit but has not yet shipped the books. What risk has the letter removed, and what risk remains?

The third part is shipping and clearing. The exporter packs the goods, marks the packages, and arranges transport with a shipping line, an airline or a road carrier. The carrier gives a receipt for the goods, which is a paper called a bill of lading; Section 13.3 'Documents of Foreign Trade' teaches it in full. The exporter also prepares the seller's bill for the shipment, called an invoice, which the same section teaches. Many exporters hire a clearing and forwarding agent, a business whose work is to deal with the port, the carrier and the customs office on the exporter's behalf.

~~Before the goods leave, an official at the border examines them~~

¹ In Bangladesh the registration is an export registration certificate, issued under the control of the Chief Controller of Imports and Exports. Names, fees and rules change over time, so a reader who needs the current rule should ask the issuing office.

The order and contract fix the terms before any money or goods move.

Recall: how trade is counted, Chapter 12, 'Foreign Trade', section 12.2 'Measuring Foreign Trade'.

An exporter must be registered, and the goods must be allowed to leave.

A letter of credit is a bank's promise to pay when stated papers are shown.

Letter of credit. A bank's written promise to pay an exporter on the customer's behalf once stated documents are presented.

Document. Word in use. In daily life, any written or printed paper. In trade, a paper with a fixed form, such as an invoice, that proves a fact about a shipment.

The bank pays against papers, and the papers must match the credit exactly.

Shipping and clearing move the goods out of the country with the right papers.

Goods leave only after the

Recall: limited liability, Chapter 9, 'The Joint Stock Company', section 9.1 'What a Company Is'.

Many viewpoints see an IPO differently: owner, investor, employee.

A stock broker is a licensed go-between who buys and sells shares for others.

Stock broker. A licensed intermediary who buys and sells shares for clients and earns a commission.

GO SLOWLY HERE.

A broker needs a licence, because clients trust the broker with money.

Before moving on: the share market in one paragraph.

The secondary market needs a place to trade and an official to guard it.

A stock exchange is an organised market for shares already issued.

Stock exchange. An organised market where shares and bonds already issued are bought and sold.

Exchange. Word in use. In daily life, to give one thing and receive another, or a

The viewpoints differ. An owner of the company gains money but gives up some control. An investor gains a chance of profit and a voice in decisions, and takes a risk. An employee may gain security if the company grows, but may also see new demands from owners who must report results to the public. Each viewpoint is real, and a decision to make an IPO should weigh all three.

The last idea of this section answers a practical question: how does an ordinary person buy or sell a share? The person does not walk into the company. The person goes to a **stock broker**, which means a licensed intermediary who buys and sells shares for clients and earns a commission. A commission is a fee for the service. For example, suppose a broker charges 1 per cent. A client who buys shares worth Tk 10,000 pays a commission of Tk 100. The rate here is only an illustration.

A broker is licensed because clients give the broker money and instructions, and a dishonest broker could do great harm. The licence is a sign that the broker has met the rules of the institution that grants it, a body we meet in Section 15.2. A broker acts for the client, and the client decides what to buy or sell; a broker who trades without instructions breaks the rules.

Before moving on. A share market has a primary part, where a company sells new shares and receives the money, and a secondary part, where owners sell to each other. The first sale to the public is an initial public offering, and its price has a face value and a premium. A person buys and sells through a stock broker, who earns a commission. You should now be able to say who is paid in each kind of sale.

* * *

15.2 THE REGULATOR AND THE EXCHANGE

The share market of Section 15.1 raises two needs. Buyers and sellers need a fixed place, with fixed times and rules, where they can meet. And someone must watch the whole system, because a market of strangers who cannot see each other invites cheating. Two institutions answer these needs. The first runs the place where shares are traded, and it is called a stock exchange. The second makes and enforces the rules, and it is called a regulator. Students often mix the two, so we take them in turn, and we then compare them.

A **stock exchange** means an organised market where shares and bonds already issued are bought and sold. A bond is a loan to a company or government, recorded in a certificate. An exchange has members, fixed hours and written rules, and trades take place through the stock brokers of Section 15.1. In Bangladesh the main one is the Dhaka Stock Exchange. A second, the Chittagong Stock Exchange, began in 1995.¹ A company whose shares are accepted for trading on an exchange is said to be listed.

¹ The Dhaka Stock Exchange was incorporated on 28 April 1954 and began formal trading in 1956. Its legal form and name have changed over time, and its ownership has since been reorganised. Check the exchange's own pages for the present details.

The third part is **customs clearance**, which means the official checking of goods at a border and the payment of any duty before they are released. Duty is a tax charged on goods when they cross a border. For example, when the printing paper reaches the port, the importer cannot take it away until the customs office has checked it and the importer has paid the duty that is due. In Bangladesh the National Board of Revenue controls customs.³

The steps of clearance follow a fixed order. The ship arrives and the carrier gives notice. The importer, or a clearing and forwarding agent, presents to the customs office a form that lists the goods and their value, called a *bill of entry*, together with the invoice, the bill of lading and the packing list. A customs officer checks the papers, may open the packages to examine the goods, and decides the amount of duty under the tariff of Chapter 12. The importer pays, and the customs office releases the goods. The importer then collects them from the port and moves them to the shop.

Clearance can fail, and a careful importer knows the common causes. The papers may disagree with each other, such as an invoice that states 150 packages when the packing list states 148. The declared value may seem too low, and the officer may then reassess the duty. The goods may be of a kind that needs a licence that the importer does not hold. Delay at the port is costly, because the shipping line and the port charge for every day that goods remain.

Before moving on. An importer first registers and, where the goods require it, obtains a licence. The importer sends an indent to the supplier and asks its bank for a letter of credit. When the goods arrive, customs clearance checks them and collects duty before they are released. Delay or disagreement among the papers raises costs.

* * *

13.3 DOCUMENTS OF FOREIGN TRADE

A shipment of goods across a border is accompanied by papers, and each paper proves one fact to one person. A customs officer reads some of them, a bank reads others, and the customer reads all of them. The figure that follows shows the main papers as four sheets. Read each sheet from top to bottom: the name is under the sheet, and the short line below the name says what the paper proves.

³ Customs are administered in Bangladesh under the National Board of Revenue. The procedures, the forms and the rates of duty change from time to time.

Customs clearance is the official check and payment of duty at the border.

Customs clearance. The official checking of goods at a border and payment of any duty before they are released.

Clearance. Word in use. In daily life, the removal of objects from a space, or permission to proceed. In trade, the official checking and release of goods at a border.

Recall: tariffs and regulation, Chapter 12, 'Foreign Trade', section 12.3 'Regulating Trade'.

The importer presents a customs form and papers, and the officer checks and values the goods.

Clearance fails when papers, value or goods do not agree.

Before moving on: the import chain in one paragraph.

A shipment travels with a small set of papers, each proving one fact.

You will need: Chapter 9 'The Joint Stock Company', section 9.1 'What a Company Is', and section 9.3 'Forming a Company'; Chapter 12 'Foreign Trade', section 12.3 'Regulating Trade'.

Shares, the prospectus and the rules of trade from earlier chapters are the background here.

Strangers who give money need a safe way to do it.

This chapter moves slowly, because many names must be kept apart.

A share market is a place, or system, where shares are bought and sold.

Market. Word in use. In daily life, a place where goods are sold, such as a vegetable market. In finance, any system in which buyers and sellers deal in one kind of thing, such as shares; it may have no building at all.

GO SLOWLY HERE.

The two sales of a bicycle show two kinds of sale of a share.

Recall: shares, Chapter 9, 'The Joint Stock Company', section 9.1 'What a Company Is'.

The company is paid in the primary market and not in

Imagine a family bookshop that has grown for thirty years and now wishes to open ten more shops. The cost is Tk 5,000,000. The family has savings, but not so much. A bank may lend the money, yet a loan must be repaid, with interest, whether or not the new shops succeed. Another way exists. The bookshop could invite thousands of strangers, and each stranger would give a small amount of money in return for a small part of the business. No stranger risks much, and the business does not have to repay the money on a fixed day.

This idea raises a puzzle. Why should a stranger give money to a business that the stranger cannot see, run or control? And how could the stranger ever get the money back if it were needed for a different purpose? The answer is a set of institutions. One institution is a market where parts of businesses are sold and resold. Another is an official body that watches the market, so that no one cheats the strangers. Others help the business itself: they speak for it, guide its exports and lower its costs.

Many students find this chapter difficult, not because any one idea is hard, but because there are many names, and each name sounds like the next. We therefore go slowly. We take one idea at a time, we begin each with an example from everyday life, and we end each with a short test that you can set for yourself. Four verbs will help you to hold the institutions apart: some institutions *regulate*, some *trade*, some *promote* and some *serve*. The figure in Section 15.3 draws them on one map.

* * *

15.1 THE SHARE MARKET

We begin with an everyday bridge. A shop sells a new bicycle to a student for Tk 10,000. The shop keeps the money. Two years later the student sells the same bicycle, now used, to a neighbour for Tk 6,000. The student keeps that money, and the shop receives nothing. Two different sales have taken place, and they must not be mixed: one sale gave new money to the maker's side of the trade, and the other moved an existing thing from one person to another.

Shares behave in the same way. A share was defined in Chapter 9, and it is one equal part of a company. A *share market* is a system in which shares are bought and sold. It has two parts, and the bicycle shows them both. The *primary market* is where a company sells new shares for the first time, and the company keeps the money. The *secondary market* is where people who already own shares sell them to other people, and the company receives nothing from these sales.

Now we use the smallest possible numbers. Suppose a company creates 100 new shares and sells them to the public at Tk 10 each. The company receives $100 \times \text{Tk } 10 = \text{Tk } 1,000$. That sale is in the primary market. Next, one buyer, whom we call Rina, sells her 10

The table that follows compares the four papers. Read each row from left to right: the first column names the paper, the second says who prepares it, and the third says the fact it proves.

The table compares four papers by who prepares them and what they prove.

FOUR PAPERS OF A SHIPMENT COMPARED

PAPER	PREPARED BY	WHAT IT PROVES
Commercial invoice	The exporter	What was sold, at what price and terms
Packing list	The exporter	What each package holds
Bill of lading	The shipping line	That goods were received, on what terms, and who may claim them
Charter party	The shipowner and the merchant	That a ship, or part of one, was hired

IN SHORT

The invoice proves the sale, the packing list proves the contents, the bill of lading proves the loading and gives the right to claim, and the charter party proves the hire of a ship.

Before moving on. A commercial invoice is the seller's bill for a shipment. A bill of lading receipts the goods and shows who may claim them. A charter party hires a ship for a merchant who fills a whole ship. A packing list shows what each package holds. A bank pays only when the papers agree with the letter of credit and with one another.

Before moving on: the four papers in one paragraph.

* * *

13.4 BARRIERS AND PROMOTION

An exporter meets barriers that make a sale hard or costly. A tax on imports, called a tariff in Chapter 12, raises the price in the customer's country. A quota limits the quantity that may enter. A standard of quality or safety may exclude goods that fail it. Long paperwork, slow ports and scarce shipping space cause delays. A small exporter may also lack the money to produce the goods before payment arrives, and a change in the price of a foreign currency may reduce its earnings.

Barriers raise the cost or block the sale; promotion lowers the cost.

A country that wishes to raise its exports can reduce these barriers. The state may register exporters and offer help with finance, so that an exporter can pay for materials before the customer pays. It may establish zones with simpler rules for factories that produce for export. It may arrange trade fairs, where exporters meet customers from abroad, and it may train exporters in quality and in the papers of Sections 13.1 and 13.3.⁴

Promotion strategies reduce the barriers through help, finance and information.

Several bodies carry this work. In Bangladesh the Export Promotion Bureau, a government body, supports exporters by col-

Export bodies give information, finance and a

⁴ The kinds of help offered by Bangladesh, such as export credit, special zones and cash support, change with government policy. Readers who need present details should consult the Export Promotion Bureau and Bangladesh Bank.

SUMMARY

An export begins with an order and a contract and is protected by a letter of credit, which is a bank's promise to pay when stated papers are shown. The goods are then packed, shipped and cleared, and the exporter shows the papers to the bank for payment. An import is the mirror: the importer registers, sends an indent, obtains a letter of credit and passes customs clearance. A commercial invoice, a bill of lading, a packing list and, for a whole ship, a charter party are the main papers. Barriers such as tariffs and delay can be reduced through finance, special zones and export bodies.

THINK IT THROUGH

13.T1 A bank refuses the documents of an exporter because the quantity on the invoice differs from the quantity in the letter of credit. The goods are already at sea. List the steps the exporter should take, and say who bears the delay.

13.T2 A customer asks the exporter to ship before the letter of credit is opened and promises to pay later. Give one reason to accept and two reasons to refuse.

WHERE PEOPLE GO WRONG

Many students believe that the bank checks that the goods are good. It does not. The bank compares the papers with the letter of credit, and it pays if they agree, even when the goods are poor. A customer who fears poor goods should ask for a paper of inspection in the letter.

A second error is to treat the bill of lading as only a receipt. It is also a record of the contract of carriage and a document of title. A person who holds the proper original may claim the goods. This is why banks keep it until payment.

A third error is to think that import procedure and export procedure are two different systems. The letter of credit, the invoice and the bill of lading are the same papers. Only the person who uses them, and the country whose law applies, differ.

IN HISTORY

In 1978 the garment industry of Bangladesh was very small. Sources record that only a handful of factories made garments for export, and that a first shipment of shirts went to a business in Paris in that year. Accounts differ on which firm sent it, and some name Reaz Garments, while others give the credit to Desh Garments. Desh Garments, led by Noorul Quader, formed a joint venture with the Daewoo Corporation of South Korea in the same year and became the first factory in Bangladesh built wholly to export garments.

For a new exporter in 1978, every step of this chapter was new: the registration, the letter of credit, the packing, the bill of lading and the clearance at the port. A first shipment proved that the

Summary of the chapter in a few lines.

A bank checks papers, not the quality of the goods.

A bill of lading is more than a receipt.

Import and export are one trade seen from two sides.

Early garment exports from Bangladesh show the procedure at work.

The procedure of this chapter turned a few shipments into an industry.

SUMMARY

A multinational company owns or controls operations in more than one country and is managed from its home country. A host country is where it operates through a branch or subsidiary, and a subsidiary is a company controlled by a parent that owns most of its shares. Managers abroad may come from the home country, the host country or a third country. Companies go abroad for customers, lower costs, supplies and spread of risk. Foreign direct investment is money for a lasting business abroad. A developing country gains jobs, money, skills, taxes and exports, and it risks profit sent abroad, strong competition, dependence and lower standards. Governments use rules to balance the two.

THINK IT THROUGH

A foreign company offers to build a garment factory that will employ 500 people in a developing country. It will own all the shares, send most of its managers from the home country, and send its profit to the home country. The government must decide whether to welcome the offer.

14.T1 List two gains and two losses that the host country may expect.

14.T2 Name two conditions the government might set, and say what each condition protects.

WHERE PEOPLE GO WRONG

A common error says that any very large company is a multinational company. Size is not the test. The test is whether the company owns or controls operations in more than one country. A large exporter that owns nothing abroad does not pass it.

Another error says that a subsidiary is only a part of its parent. A subsidiary is a company in its own right, registered under host-country law. The parent owns its shares, not its buildings and machines.

A third error calls the home country the place where the company sells most. The home country is where the headquarters stands. A company may sell most of its goods in a host country.

A fourth error treats all foreign money as foreign direct investment. The term covers money used to build or buy a lasting business. A person who buys a few shares for a quick sale does not make foreign direct investment.

A fifth error gives one answer for all companies. Some multinational companies give a host country much, and some give little or cause harm. Judge each company on what it does and on the rules it must follow.

IN HISTORY

The Singer Manufacturing Company was an American company

The summary lists the main ideas of the chapter in a few lines.

This case asks whether a country should welcome a foreign company.

Many students think that any very large company is a multinational company.

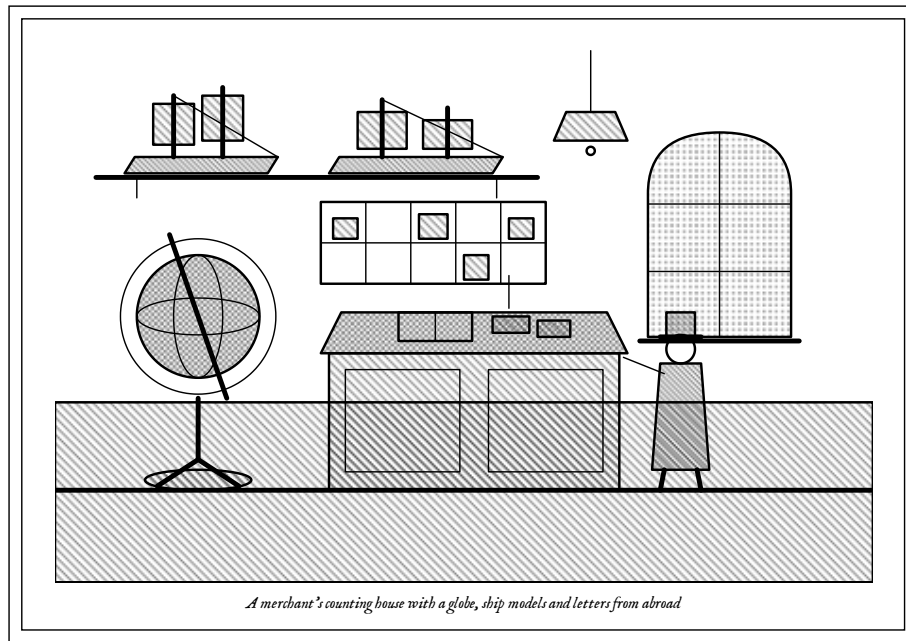
A subsidiary is a separate company, so its parent does not own its buildings.

The home country is the country of the headquarters, not the country of most customers.

Foreign direct investment means lasting investment, not any foreign money.

A multinational company is neither always good nor always bad for a host country.

Singer's factory in Glasgow, Scotland, 1869.



CHAPTER XIV

Multinational Corporations

Whose business is it, when it crosses a border?



This chapter describes companies that own and manage operations in more than one country. It explains what they are, why they spread across the world, and how they help and harm a developing country such as Bangladesh. It ends with a sewing machine company of the nineteenth century.

14.3 EFFECTS ON A DEVELOPING COUNTRY LIKE BANGLADESH

Is a foreign company good for a developing country? A developing country is one whose people have, on average, lower incomes and fewer factories than people in the richest countries, but whose economy is growing. Bangladesh is such a country. The honest answer is that a multinational company brings both benefits and problems, and the balance depends on the case. We take the benefits first, then the problems, then the control that governments use.

The benefits are easy to name. The company gives jobs and pays wages. It brings money that the country may lack. Its employees learn new skills, and some later use them in local businesses. It pays taxes, which the government spends on roads, schools and hospitals. It may export goods and earn foreign money. A customer in the host country may find better goods and lower prices. A local supplier may gain a large new customer.

One benefit deserves a longer look: the spread of skills. A foreign company often brings machines, methods and training that the host country has not used before. Its employees learn them in daily work. Some later leave to start businesses of their own, or to join local ones, and they carry the knowledge with them. Local suppliers learn to meet the standards that the foreign company demands, and those standards help them win other customers. This spread is not automatic, but where it happens, it can last long after the foreign company has gone.

A benefit is not automatic. A factory that employs 500 workers but buys all its parts abroad gives fewer gains than one that buys from local suppliers. A company that sends its best jobs to managers from the home country gives its local employees less chance to learn. The gains depend on what the company does and on what the host country requires.

The problems are equally real. Much of the profit may be sent to the home country instead of being spent in the host country. A local owner of a small business may lose customers to a company with more money and a famous name. Decisions are made abroad, so the parent may close its subsidiary when costs rise, and the employees lose their work. Some companies pay low wages or ignore safety and the environment where the law is weak. Evidence differs from company to company and from country to country, so we judge each case on its facts.

The viewpoint matters. An employee sees wages and chances to learn. A customer sees price and choice. A local owner sees a new competitor, or a new customer. A government sees taxes, jobs and the power of an outside company over its own affairs. All four viewpoints are correct, and a good decision weighs them together.

Governments respond with rules. A government may limit the share that a foreign company may own in some industries. It may require a licence before a company starts work. It may tax profits, and it may set rules on how much profit may be sent abroad. It may set standards for pay, safety and the environment. It may ask the company to train local workers or buy local materials. The rules

A multinational company brings both benefits and problems, and the balance depends on the case.

The benefits are jobs, money, skills, taxes, exports and wider choice for customers.

Foreign companies can pass on skills and methods, which local owners may later use.

A benefit is not automatic, because it depends on how the company chooses to operate.

The problems are profit sent abroad, strong competition, dependence and lower standards.

Employees, customers and local owners each see the effects from a different position.

Governments control foreign companies through laws on ownership, licences, taxes, profits and standards.

Recall: control, section 14.1 'What a Multinational Is.'

The word *control* needs care. A company controls an operation when it can decide how that operation is run. The usual way to gain control is to own most of its shares, because ordinary shares carry votes. Ownership is not the only way, since a company may also control an operation through a long contract that fixes how the operation must work. Not every foreign dealing makes a multinational company. A company that buys goods from a foreign supplier does not control that supplier. Size is also not the test. A very large exporter that owns nothing abroad is not a multinational company.

Every multinational company has one **home country**, the country where it has its headquarters. The headquarters is the main office, where the top managers sit and the chief decisions are made. A **host country** is a country where a multinational company operates through a branch or subsidiary. A branch is a part of the company itself, working in another country. A subsidiary is a separate company, which the next paragraphs explain. Suppose the shoe company has its head office in Italy and factories in two other countries. Italy is its home country, and the other two are host countries. A company has one home country and may have many host countries.

PAUSE AND CHECK 14.P1 A company has its headquarters in Canada. It owns a factory in Bangladesh and a shop in Kenya. Name its home country and its host countries.

How does a company operate abroad through a separate company? It establishes a new company in the host country, or it buys an existing one. A **subsidiary** is a company controlled by another company, called the parent, which owns most of its shares. Suppose a parent owns 60 of every 100 shares of a company abroad. The parent holds most of the votes, so it controls that company, and the company abroad is its subsidiary.

A subsidiary is a company in its own right. It is registered under the law of the host country, it pays that country's taxes, and it must obey that country's rules. Because of limited liability, the parent can lose no more than the money it put in. A parent usually controls its subsidiaries, yet it does not always own every share, and local owners may hold the rest. Many students find this confusing, because the subsidiary seems to belong to the parent. In law, the parent owns the shares of the subsidiary, not the buildings and machines inside it.

Case file, illustrative. Supplier record 2026: Larkspur Academic Press, with its headquarters in London, has subsidiaries in 9 countries and supplies Meghna and Sons. Its Dhaka office employs 24 people.

We now apply the words to the case. Larkspur has operations in

Control usually comes from owning most of a company's shares, but size is not the test.

The home country holds the head office, and a host country holds a branch or subsidiary.

Home country. The country where a multinational company has its headquarters.

Host country. A country where a multinational company operates through a branch or subsidiary.

Home. Word in use. In daily life, the place where you live. Here, the country of the company's headquarters, which may not be where most of its customers live.

A parent company controls a subsidiary by owning most of its shares.

Recall: share, limited liability, Chapter 9 'The Joint Stock Company', section 9.1 'What a Company Is'.

Subsidiary. A company controlled by another company, called the parent, which owns most of its shares.

A subsidiary is a company in its own right, under the law of its host country.

A supplier with a head office in London and an office in Dhaka is an example.

The case shows each new

The figure draws a parent company and its subsidiaries as a hub with spokes.

slower, but the company designs everything to suit its own methods. Buying is faster, but the company inherits the habits and the problems of the business it buys. A third way is to share ownership with local owners, who may know the country well. In each case the test of a multinational company is the same: does it control an operation in the host country?

The figure shows a multinational company as a hub with spokes. The parent company is the hub, and it stands in the home country. Each subsidiary stands at the end of a spoke, in a host country. A solid line shows control, which flows outward from the parent. A dashed line shows profit, which usually returns to the parent. Read the figure by following one spoke from the hub to a subsidiary and back.

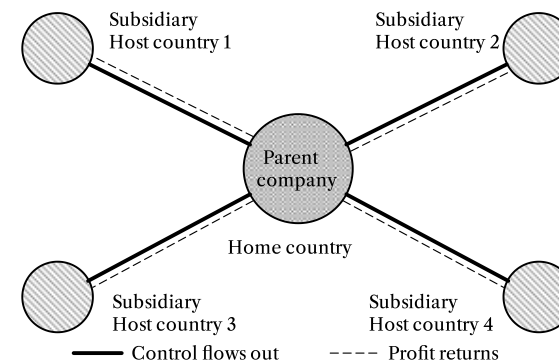


FIG. 14.1. Home country, host country and subsidiaries drawn as a hub

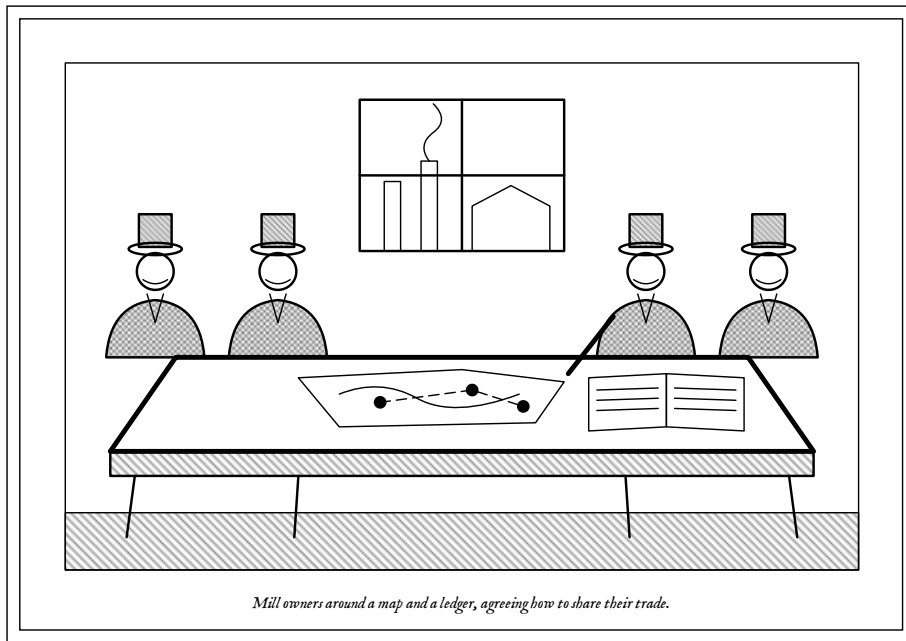
Who runs the operation in a host country? A multinational company has three choices. It may send managers from the home country, hire managers from the host country, or use managers from a third country, one that is neither. The table compares the three. Read each row from left to right: the first cell names the choice, and the next two cells give a strength and a risk.

THREE KINDS OF MANAGER ABROAD

KIND OF MANAGER	STRENGTH	RISK
From the home country	Knows the parent's methods and is trusted by headquarters	May not know local law, language or customers
From the host country	Knows local law, language and customers, and costs less	May not know the parent's methods
From a third country	Brings wide experience of many places	May be a stranger to both the parent and the host country

Each choice has effects on people. A company that always sends managers from the home country leaves local employees with no

Employees in the host country care who is chosen, because it



CHAPTER XVI

Business Combination and Integration

Why would two businesses prefer to be one?



This chapter asks why businesses join together and what each way of joining changes. It describes mergers, takeovers, consolidation, holding companies, cartels and trusts. It then separates joining at the same stage from joining at different stages, and weighs the gains against the dangers.

week shop at both businesses. The expected rent saving is Tk 360,000 a year. Meghna and Sons had sales of Tk 14,400,000 in 2025, so the combined 2025 sales would be Tk 20,400,000.

The case file records figures and a proposal, and it does not record a decision. Keep the figures in view as you read. Each new idea in this chapter can be tested against them: which reason for combining do they show, which opportunity, and which threat?

Owners give six main reasons for joining their businesses. The first is lower cost. Two shops under one roof need one rent and one set of accounts, not two. The second is buying power. A supplier gives a better price for one large order than for two small ones. The third is less competition. When two rivals become one, neither can win customers from the other by lowering a price. The fourth is safety. A large business can survive a bad year more easily than a small one. The fifth is growth. Buying a business that already has customers is faster than winning customers one at a time. The sixth is skill or reach. A business may join another that knows a trade, a craft or a country that it does not know.

The reasons look different from each viewpoint. The owner seeks growth and profit. The manager seeks a plan that can be run well. The employee asks whether the job and the pay will remain. The customer asks about price, choice and service. A combination that satisfies the owner may trouble the customer, and the reverse can also be true. Keep all four viewpoints in mind in every case in this chapter.

The sixth reason, reach, deserves an example because it is the hardest to see. Suppose a small Dhaka maker of notebooks wishes to sell to customers in another country. It lacks contacts, knowledge of the foreign market and skill in export. A larger business already has all three. If the two join, the small maker gains a route to those customers, and the larger business gains a product it can offer. Some combinations of this kind place a factory in an export processing zone, which is a planned area with special rules for factories that make goods for export. Neither business could easily gain this reach alone, and this is why reach is a common reason for joining.

A reason explains why owners choose to join. An opportunity is a gain that the combination makes possible. Consider two families who live in one building and share one kitchen. They pay one gas bill, buy rice in larger sacks and cook together on busy days. In the same way, a combined business can spread a fixed cost such as rent over more sales, so that each book sold carries a smaller part of the rent. It can order in larger quantities and ask for a lower price. It can offer customers a wider range. It can borrow more easily, because a lender sees a larger and steadier business. And it can reach markets that neither business could reach alone, such as customers in other countries through export.

A threat is a danger that the combination brings. The same two families may quarrel over whose turn it is to use the stove. Businesses meet the same difficulty on a larger scale. The price paid for the other business may be too high. The two ways of working may not agree, and good staff may leave. Customers who

We return to these figures in the worked case at the end of the chapter.

Owners give six main reasons for joining their businesses.

The reasons look different from the owner's, the employee's and the customer's viewpoint.

Reach is the sixth reason, and it often involves trade between countries.

Recall: Foreign trade, Chapter 12, section 12.1 'Why Nations Trade'.

Opportunities are the gains that a combination makes possible.

Threats are the dangers that a combination can bring.

14.5 An exporter makes its goods at home and sends them across the border, so it controls no operation abroad. A multinational company owns or controls operations in more than one country, usually by owning most of the shares of a company or by running a branch.

CHAPTER XV · INSTITUTIONS THAT PROMOTE BUSINESS IN BANGLADESH

15.p1 Tk 10 is the face value and Tk 15 is the premium. The sale is in the primary market, because the company sells new shares and keeps the money.

15.p2 The company receives Tk 1,000 in the primary sale of 100 shares. When Rina sells her 10 shares, Rina receives the Tk 120 and the company receives nothing.

15.p3 The Securities and Exchange Commission, the regulator, investigates the broker. The stock exchange runs the market where the trade took place.

15.t1 Reasons to list: shares become easy to trade, and the company can raise money from the public. Reason not to list: the company must publish information and follow the exchange's rules.

15.t2 $\text{Tk } 20,000 \div \text{Tk } 400,000 = 5$ per cent of profit. The owner should also weigh the information, contacts and voice with the government that membership gives.

15.1 Regulate: the Securities and Exchange Commission. Trade: the Dhaka Stock Exchange and a stock broker. Promote: the Export Promotion Bureau. Serve: FBCCI.

15.2 Total: $50,000 \times \text{Tk } 30 = \text{Tk } 1,500,000$. Face value part: $50,000 \times \text{Tk } 10 = \text{Tk } 500,000$. Premium part: $50,000 \times \text{Tk } 20 = \text{Tk } 1,000,000$. It is a sale in the primary market.

15.3 It is the secondary market. The selling owner receives $1,000 \times \text{Tk } 35 = \text{Tk } 35,000$, and the company receives nothing.

15.4 An export processing zone, where buildings, power and port links are ready and some taxes and duties are reduced; or the Export Promotion Bureau, which gives information on foreign markets and help with fairs.

15.5 The Securities and Exchange Commission approves the offer; the exchange lists and trades the new shares; stock brokers handle sales for investors; the export processing zone authority gives the site and its benefits.

CHAPTER XVI · BUSINESS COMBINATION AND INTEGRATION

16.p1 A cartel. The sellers agree on a price but each keeps their own stall, so they stay independent; nothing is bought or merged.

16.t1 Vertical. The mill and the bakery stand at different stages of one product, flour and bread, so joining them is vertical, toward the source.

16.t2 Opportunity: a secure supply of flour. Threat to the baker: being tied to her own mill when another is cheaper. Threat to the other bakers: the mill may refuse them flour or raise the price.

A holding company is a company that owns enough shares in other companies to control them. The companies it controls remain legal companies, with their own names, accounts and limited liability. Yet one set of owners decides the main policy for all of them. Compare this with a merger. After a merger there is one business. Under a holding company there are many businesses, and one controller. A holding company needs only a majority of the voting shares, not all the shares, so it can control a company at a lower cost than buying it whole.

Picture three mill owners in one region who meet around a map and a ledger. They agree on one price for cloth and on a limit to what each mill will make. Each owner keeps their own mill, books and workers. This is a **cartel**: a group of independent firms that agree to fix prices or output to limit competition. Nothing is bought and nothing is merged, so a cartel is the loosest form of combination. It is also the weakest, because any member can break the agreement. In many countries a cartel is unlawful.

A trust is firmer than a cartel. The owners of several businesses give their shares to a small group of trustees. The trustees vote those shares and run the businesses as one group, and the owners receive certificates that show their share of the profit.¹ The best-known trust, Standard Oil, appears in the history section at the end of the chapter.

How do owners choose among these forms? They ask what they wish to keep and what they can afford. If they want one business with one name, they choose a merger or consolidation. If they want to keep the names, the shops and the trusted staff of each business, they choose a holding company or a takeover, because each business stays alive. If they only wish to end price competition and trust one another, they may consider a cartel, but it gives no lasting control and often breaks the law. The cost differs too. Buying a whole business needs more money than buying a majority of its shares, and an agreement needs the least money but gives the least control.

The law on combinations differs by country, so we name the place. In the United States, the Sherman Act of 1890 makes illegal any contract, combination or conspiracy that restrains trade between the states. In Bangladesh, the Competition Act 2012 deals with agreements between businesses that harm competition. Not every combination is unlawful. Laws usually aim at combinations that harm customers, and many mergers and acquisitions are lawful.

IN SHORT

For each form, ask two questions: who survives, and who controls?

Before moving on. A merger leaves one company. Consolidation replaces the old companies with a new one. A takeover and a holding company leave the companies alive but under a controller. A

¹ In law, the word trust also has older and wider meanings, such as property held by one person for the benefit of another. Here it means only this form of combination.

A holding company controls other companies by owning their shares.

Recall: Share and limited liability, Chapter 9, section 9.1 'What a Company Is'.

A cartel is an agreement between independent businesses, not a purchase.

Cartel. A group of independent firms that agree to fix prices or output to limit competition.

A trust is a firmer form, in which trustees control the shares of many businesses.

The choice of form depends on what the owners want to keep and what they can afford.

The law on combinations differs by country, and the place must be named.

Section recap: six forms, sorted by what survives and who controls.

is paid by taxpayers, and a private owner may manage staff and costs more closely.

11.t2 Government may pay a grant for the village routes only and let the company set fares freely on the busy routes, or it may reduce staff on routes where the work does not need them.

11.t3 A public corporation, because it has its own board and accounts and does not need ministry permission for each decision. A government company also has freedom, but a departmental undertaking has the least.

11.1 (a) A sole proprietorship. (b) A state enterprise, as a departmental undertaking or a public corporation. (c) A company, because it can raise large capital from many shareholders. (d) A cooperative society, because the farmers serve their own needs together.

11.2 The first arrangement is a departmental undertaking. The second is a public corporation.

11.3 The price difference is Tk 92 – Tk 85 = Tk 7 a bottle. The yearly saving is $2,000 \times \text{Tk } 7 = \text{Tk } 14,000$. Check: $2,000 \times \text{Tk } 85 = \text{Tk } 170,000$ and $2,000 \times \text{Tk } 92 = \text{Tk } 184,000$, a difference of Tk 14,000.

11.4 A state enterprise, probably a public corporation, suits it. Water is essential, needs large capital and serves everyone at a price that families can pay. One risk is loss from low prices or political orders, which taxpayers would then cover.

CHAPTER XII · FOREIGN TRADE

12.p1 No. If Salim's cost of one shirt were also 2 kilograms of rice, both neighbours would pay the same price in rice for a shirt. Neither would have a comparative advantage, so trade would bring no gain.

12.t1 The tariff is 20 per cent of Tk 10,000, which is Tk 2,000. The new price is Tk 10,000 plus Tk 2,000, which is Tk 12,000.

12.t2 Before the tariff, the imported bicycle at Tk 10,000 is cheaper than the local one at Tk 11,500. After it, the local bicycle at Tk 11,500 is cheaper than the imported one at Tk 12,000. The government gains tax and the local maker gains sales. The customer loses, because the lowest price rises from Tk 10,000 to Tk 11,500.

12.1 (a) visible; (b) invisible; (c) visible; (d) invisible; (e) invisible. Goods are visible trade, and services such as hotel stays, freight and bank fees are invisible trade.

12.2 Balance = 6,000 minus 18,000 = minus 12,000, a deficit of USD 12,000. In taka, 12,000 times 120 = Tk 1,440,000.

12.3 Balance = 60,000 minus 25,000 = plus 35,000, a surplus of USD 35,000. In taka, 35,000 times 120 = Tk 4,200,000.

12.4 Price before the tariff: 500 times 120 = Tk 60,000. Tariff: 10 per cent of Tk 60,000 = Tk 6,000. Total: Tk 66,000.

12.5 An hour of the doctor's time treating patients is worth more than an hour of typing, so she loses less by hiring the assistant. In the same way, two countries each gain by making the goods that cost them least in other goods and trading, even if one country is

No form is good or bad alone. Weigh each case with four questions. What does the owner gain? What do customers gain or lose? Can the joined businesses be managed as one? Does the law of the country allow it? A combination that lowers cost and keeps prices fair serves everyone. One that removes all choice invites the attention of the law.

Before moving on. Horizontal integration joins the same stage; vertical integration joins different stages. A conglomerate joins unrelated trades. Weigh opportunity against threat from every viewpoint.

WORKED CASE: PADMA STATIONERS

A worked case applies an idea to a situation. It does not give a model answer to a question about the subject. It shows how to reason from the facts, one step at a time. We use the proposal from the case file.

Situation. On 3 December 2026 Meghna and Sons proposes to acquire its neighbour, Padma Stationers. Padma Stationers has sales of Tk 6,000,000 a year. The price is Tk 1,800,000. About 40 customers a week shop at both businesses. The expected rent saving is Tk 360,000 a year. Meghna and Sons had sales of Tk 14,400,000 in 2025, and a profit of Tk 750,000.

Question. What kind of combination is this, and does the case file support buying Padma Stationers?

Reasoning. Step one: name the form. Meghna and Sons proposes to buy a business owned by another, so this is an acquisition. The case file does not say that Padma Stationers is a company, so we do not call it a takeover or a merger. Step two: name the kind. Both shops sell books and stationery to customers, so they stand at the same stage. This is horizontal integration.

Step three: measure the size. The combined 2025 sales would be the sum of the two. Sales of Tk 14,400,000 plus Tk 6,000,000 give Tk 20,400,000. Step four: compare the price with the saving. In words, the years needed to recover the price equal the price divided by the yearly saving. Tk 1,800,000 divided by Tk 360,000 is 5 years. This counts the rent saving alone, and other gains or losses would change it. For scale, Tk 1,800,000 divided by the 2025 profit of Tk 750,000 is 2.4. The price is 2.4 times a year of profit.

Step five: examine the overlap. About 40 customers a week already shop at both businesses. Buying Padma Stationers cannot win new sales from these customers, because they already buy from Meghna and Sons. It only removes their choice. New sales must come from the customers of Padma Stationers who have not shopped at Meghna and Sons before, and some of them may leave. Step six: list the threats. The case file does not state how the price would be paid. It does not say whether the staff of Padma Stationers would stay. It does not say whether customers would accept the change.

Step seven: test the result from each viewpoint. The owner gains a larger business and a rent saving. The employees of both

No form is good or bad alone; weigh the gain and the danger for each viewpoint.

Section recap: horizontal, vertical and conglomerate joining.

A worked case applies the ideas of the chapter to the proposal of 3 December 2026.

The situation restates the facts of the proposal.

The question asks for the kind of combination and whether the proposal is sound.

Step one names the form and the kind of integration.

Step two measures the size and the saving.

Step three looks at the overlap in customers and at the threats.

The viewpoints of the owner, the employee and the customer test the result.

CHAPTER VIII · THE PARTNERSHIP

8.p1 Yes. Under mutual agency each partner is the agent of all the others, so a contract signed in the ordinary course of the business binds every partner, including a partner who did not sign.

8.t1 Yes. Anwar acted in the ordinary course of the business, and the supplier did not know of the limit. The limit in the deed protects the partners against each other, not against an outsider who did not know of it.

8.t2 Anwar broke the deed and his duty to act for the common benefit. They may claim that he must bear the loss that his order causes, and they may agree a firmer rule for large orders.

8.t3 They may tell their regular suppliers of the limit in writing, so that an informed supplier cannot hold them to a larger order. They may also require a second partner to approve every large order.

8.1 $3 + 2 = 5$ parts, and Tk 60,000 $\div 5 =$ Tk 12,000 for one part. The first friend receives $3 \times$ Tk 12,000 = Tk 36,000 and the second receives $2 \times$ Tk 12,000 = Tk 24,000. Check: Tk 36,000 + Tk 24,000 = Tk 60,000.

8.2 They would share equally, Tk 30,000 each. The rule is that partners share profit equally when the deed is silent, whatever capital each has supplied.

8.3 $4 + 3 + 3 = 10$ parts, and Tk 420,000 $\div 10 =$ Tk 42,000 for one part. Nurul receives Tk 168,000, Rafiq receives Tk 126,000 and Tariq receives Tk 126,000. Check: the three shares add to Tk 420,000.

8.4 She would be a sleeping partner. Her liability would be unlimited, because the Partnership Act 1932 of Bangladesh makes no provision for limited partners. Mutual agency still binds her, because the acts of the baker bind all the partners.

CHAPTER IX · THE JOINT STOCK COMPANY

9.p1 The business continues unchanged. The owner sells or gives up the shares, and the company, as a separate legal person, keeps its building, contracts and staff.

9.t1 For: limited liability protects the sisters' homes if the bank loan cannot be repaid. Against: a bank may still ask them for personal guarantees, so the protection may be weaker than it seems.

9.t2 A private limited company suits two owners who want control and no public offer. It limits their loss and keeps control with them. A public company would add costs and rules. They could change later if they need much more money.

9.1 A company is a separate legal person, so it continues when owners change, but a partnership has no existence apart from its partners. A company limits owners' loss to the money they paid; each partner may have to pay debts from personal wealth.

9.2 Company A is private: few owners, restricted transfer of shares, no invitation to the public. Company B is public: many owners, free transfer of shares, an open invitation to the public, and trading

in a trust. Nine trustees managed the whole group on behalf of all the owners, who received trust certificates in return. This was the first large trust in America, and other industries copied the model.

Many people feared that one business now controlled most of the country's oil. In 1890 the United States Congress passed the Sherman Antitrust Act, named for Senator John Sherman of Ohio. President Benjamin Harrison signed it on 2 July 1890. It was the first federal law against trusts. In March 1892 the Ohio Supreme Court ruled that the Standard Oil Company of Ohio must end its part in the trust.

The owners did not give up control. They kept it through a holding company in New Jersey, another form from this chapter. In 1911 the United States Supreme Court found that the group had broken the Sherman Act and ordered it divided into separate companies. The story shows how forms of combination change. When the law closed one door, the owners used another. It also shows that the name of a form matters less than its effect on customers.

The public alarm led to the Sherman Act of 1890 and to a court ruling in Ohio.

The owners changed the form, but the law caught up in 1911.

REVIEW QUESTIONS

- 16.1 Two bakeries in one town come under one owner. Is this horizontal or vertical integration? Explain.
- 16.2 A publisher buys the paper mill that supplies it. Classify the combination, say in which direction it moves, and name one opportunity and one threat.
- 16.3 Three mill owners agree to charge the same price but keep their mills. Name the form, and say how it differs from a merger.
- 16.4 A company buys most of the shares of another company, and the second company keeps its name. Name the form, and say what the buyer controls.
- 16.5 In the case file, which reason for combining appears in the rent saving, and which threat needs more facts before a decision?

skilled people. Last, because the office makes no goods that need a nearby market.

4.6 Footfall is the number of people who pass or enter a shop; sales are what customers actually buy. Many people may pass and buy nothing, so footfall shows an opportunity but not income.

CHAPTER V · THE BUSINESS ENVIRONMENT

5.p1 External. A competitor's price cut happens outside the business, and the business cannot control it directly. It is an economic force.

5.t1 The competitor is part of the external environment, in the economic group, because it concerns competition and price.

5.t2 Examples: the skill and number of staff, the stock the shop holds and how it is recorded, the money available, and the shop's culture of service.

5.t3 Adapt: change the stock, improve service or reduce costs. Influence: build goodwill with customers or join other shops in a trade association. Either answer should stay within the law.

5.1 Internal: (a), (c), (e), (h), (j). External: (b), (d), (f), (g), (i).

5.2 The textbook price cut and the curriculum change would matter less. The internal facts, 7 staff and stock listed on paper cards, would still matter for the remaining books.

5.3 The rise in flour prices is external, in the economic group. Hiring a new baker is internal, because the bakery decides it.

5.4 Internal: the owner, the managers, the employees. External: customers, suppliers, lenders, competitors or the government. Any five such stakeholders, correctly placed, are acceptable.

5.5 A fall in sales caused by an external change can reduce income until the business cannot continue, and lost customers weaken goodwill. A site with more footfall or a stronger local market may lower the risk, though no site removes it.

CHAPTER VI · SOCIAL RESPONSIBILITY OF BUSINESS

6.p1 For: the business depends on society and affects it, and responsible conduct builds goodwill. Against: the duty of a business is profit within the law, and spending the owners' money on social aims is not the manager's choice.

6.t1 $38 - 30 = 8$ days late. $8 \div 30 = 0.27$ of the agreed time (about 27 per cent).

6.t2 $150,000 \div 750,000 = 0.20$, or 20 per cent of the profit. No. A gift alone does not show responsibility, because honest dealing, prompt payment and safe goods matter more than gifts.

6.t3 The supplier must wait for money it has earned and may have to borrow to pay its own staff, which harms its survival. It may raise the matter, ask for firm payment dates or seek other customers. The customer should pay on the agreed date or agree new terms in advance.

6.t4 Affected: people downstream (the community), consumers of the river's water and fish, and later generations. Duties involved:

GLOSSARY

Articles of association. The document setting the company's internal rules, such as the duties of directors and the holding of meetings. A private company uses it to restrict the transfer of shares. It describes the company's inner life. (*Chapter IX*)

Balance of payments. A record of all money flowing into and out of a country over a period. It covers payment for goods and services, money sent home by workers abroad, and money that moves for investment and loans. It is wider than the balance of trade, which counts goods only. (*Chapter XII*)

Balance of trade. The difference in value between a country's exports and imports of goods over a period, such as a year. It leaves out services. If exports are larger, the balance is a surplus; if imports are larger, it is a deficit. Exports of 100 and imports of 130 give a deficit of 30. (*Chapter XII*)

Bill of lading. A document from a shipping line that receipts the goods, states their terms of carriage and shows who may claim them. It is a receipt, a record of the carriage contract and a document of title. Example: the customer needs it to collect books at the port. (*Chapter XIII*)

Business. An activity that provides goods or services to others in exchange for money, aiming to earn a profit. It is regular work, not a single act. A shop selling exercise books to schoolchildren is a business; a family growing rice only to eat is not. (*Chapter I*)

Business combination. Two or more businesses joining under common control, in order to gain strength or reduce competition. The joining may be by purchase, by agreement or by owning shares. Example: two bookshops on one lane that come under one owner. (*Chapter XVI*)

Capital. Man-made goods and money used to produce other goods, such as machines, tools and stock. A kettle, a shop's shelves and the books held for sale are capital. Interest is the reward of capital. (*Chapter II*)

Cartel. A group of independent firms that agree to fix prices or output to limit competition. Nothing is bought or merged, and each member stays free. In many countries it is unlawful. Example: three mill owners agree one price for cloth. (*Chapter XVI*)

Charter party. A contract by which a shipowner hires a whole ship, or part of it, to a merchant. A voyage charter hires the ship for one journey; a time charter hires it for a period. Example: a grain trader who hires a ship for one cargo. (*Chapter XIII*)

Commerce. Trade together with the services that help goods move from producer to customer, such as transport and banking. These helping services are called aids to trade. A notebook trader, the lorry that carries the notebooks and the bank that holds the trader's money all belong to commerce. (*Chapter I*)

Commercial invoice. The seller's bill listing the goods, the quantity, the price and the terms for a shipment. The customs officer uses it to value the goods, and the bank uses it to check the letter

2.t2 The owner carries the risk, because profit is what remains after the payments agreed in advance. The owner supplies enterprise.

2.t3 The owner supplies labour for the work of operating the machine, and enterprise for organising the workshop and accepting the risk.

2.1 The landlord supplies land and earns rent. The shop assistant supplies labour and earns wages. The lender supplies capital and earns interest. The owner supplies enterprise and earns profit.

2.2 Labour is work paid with wages, which are agreed in advance, so a member of staff is paid even in a poor year. Nurul Meghna supplies enterprise: organising the shop and accepting the risk, with a profit of Tk 750,000 that was not agreed in advance.

2.3 Shop A relies mostly on the owner's labour, a little capital in the cart, and a rented spot as land. Shop B relies heavily on capital in shelves, scanners and stock, and on many staff as labour, with more land in its larger space. Both need an owner supplying enterprise.

2.4 The field is land and earns rent. The two helpers are labour and earn wages. The tractor is capital and earns interest. The farmer's decisions and risk are enterprise and earn profit.

2.5 Land: the rented shop space or stall. Labour: an assistant who sells the cloth. Capital: the stock of cloth or the shelves. Enterprise: the trader's organising of the business and acceptance of risk.

2.6 Division of labour splits a job into small tasks so that each worker repeats one. In the bag example, folding and gluing by two workers gave close to 60 bags in an hour instead of 40. One cost is that repeating one task can become dull.

CHAPTER III · OBJECTIVES OF BUSINESS AND WHAT MAKES IT SUCCEED

3.p1 The stall loses Tk 2,250 – Tk 2,000 = Tk 250 each month. The savings last Tk 1,000 ÷ Tk 250 = 4 months.

3.p2 Example: answer a customer's question honestly and find the right book. The customer returns and tells others, and a buyer of the business would later pay more for a shop whose customers return.

3.t1 A social aim conflicts with profit when it costs money that would otherwise be kept as profit, as when books are given away. The shop can reduce the conflict by limiting the gift to a fixed number, choosing gifts that also build goodwill, and keeping survival first.

3.t2 The baker needs enough money (sound finance) to buy ingredients and pay helpers before new customers pay, and a plan for how many customers can be served well. Growth that is too fast can leave bills unpaid, which threatens survival, and poor service can damage goodwill.

3.1 Economic: raise profit to Tk 900,000 (measured in money), and supply 12 schools' libraries (a growth aim, measured through sales). Human: train 7 staff for 14 hours each, because the staff gain. Social: give 200 books a year to a school library, because people outside

and a school curriculum change. The business can adapt to them or influence them within limits. *(Chapter V)*

Extractive industry. Business that takes natural materials out of the earth, sea or land, such as farming or fishing. It often comes first in a chain of work, because other branches need its materials. Mining coal and cutting timber are further examples. *(Chapter I)*

Factor of production. A resource used to make goods or provide services. Economists name four: land, labour, capital and enterprise. A tea stall uses all four: a spot, the seller's work, a kettle, and the decision to open. *(Chapter II)*

Footfall. The number of people who walk past or enter a shop in a given time. It measures the chance of sales, not the sales themselves. Example: an owner counts 410 people passing the door on an average day over five days. *(Chapter IV)*

Foreign direct investment. Money a foreign company invests to build or buy a lasting business in another country. Building a factory abroad is an example. Buying a few shares for a quick sale is not, because no lasting business is built or controlled. *(Chapter XIV)*

Foreign trade. The buying and selling of goods and services between people or firms in different countries. It includes goods such as tea and wheat, and services such as shipping and banking. A bakery in Dhaka that buys wheat from a farmer abroad takes part in foreign trade. *(Chapter XII)*

Goodwill. The good name a business earns with customers, which brings them back and is worth money. It takes years to earn and can be lost at once. A buyer of a business may pay more for a shop whose customers return. *(Chapter III)*

Home country. The country where a multinational company has its headquarters, which is its main office. Each multinational company has one home country. A company with its head office in London has the United Kingdom as its home country, whatever the countries of its customers. *(Chapter XIV)*

Horizontal integration. Combining firms at the same stage of making or selling the same kind of product. The joined firms were usually competitors. Example: two bookshops on one lane that become one business. *(Chapter XVI)*

Host country. A country where a multinational company operates through a branch or subsidiary. A company has one home country but may have many host countries. A company based in London with an office in Dhaka has Bangladesh as one of its host countries. *(Chapter XIV)*

Import. A good or service bought from a seller in another country. The buyer pays foreign money, or its value in local money. A Dhaka shop that orders books from a publisher abroad makes an import. The same sale is an export for the country of the seller. *(Chapter XII)*

Industrial estate. An area planned and serviced by an authority where many factories are grouped together. The authority provides roads, power, water and waste removal for all of them.

office in one country and its own factories in three others is an example. (*Chapter XIV*)

Mutual agency. The rule that each partner is the agent of all the other partners, so that each partner can act for the business and bind every partner. If one partner signs an order for books, all the partners must pay for it, even those who never saw the order. (*Chapter VIII*)

Nationalisation. The transfer of a privately owned business to government ownership. The government may take over a coal industry that private owners held, and many laws then require compensation to the former owners. The opposite step, selling a state enterprise to private owners, is called privatisation. (*Chapter XI*)

Objective. A clear aim that a business tries to reach within a stated time. A good objective has an amount and a time. "Raise profit from Tk 750,000 to Tk 900,000 during 2026" is an objective; "do better" is only a wish. (*Chapter III*)

Partnership. A business owned by two or more people who have agreed to run it together and to share its profits. The agreement may be spoken or written. Two friends who share a market stall and its earnings form a partnership, even if they never use the word. (*Chapter VIII*)

Partnership deed. A written agreement among partners. It states the capital that each partner supplies, the duties of each partner, the shares in which profit is divided and the rules for ending the business. A signed deed settles later disputes about what each partner promised. (*Chapter VIII*)

Plant location. The place where a business builds its factory or opens its shop. The owner chooses it by weighing several factors, such as materials, customers, transport, workers, power, land and public rules. Example: a bakery that chooses a shop beside a railway station instead of a quiet village. (*Chapter IV*)

Private limited company. A company that restricts the transfer of its shares and cannot invite the public to buy them. Owners may sell only by the company's rules. In Bangladesh the name ends with Private Limited. Example: three partners who convert a family business into a company. (*Chapter IX*)

Private sector. The part of an economy owned and run by individuals and private firms rather than by government. A family bakery, a tailor and a privately owned bank belong to it. (*Chapter VII*)

Profit. What remains of a business's income after all its costs have been paid. In words, profit equals income minus costs. If a fruit seller's income is Tk 300 and her costs are Tk 200, her profit is Tk 100. If costs are greater, the result is a loss. (*Chapter I*)

Prospectus. A published invitation to the public to buy shares or debentures, describing the company and the risks. It usually states the objects, directors, number and price of shares, use of the money, risks and how to apply. A debenture is a loan to the company. (*Chapter IX*)

Public sector. The part of an economy owned and run by government. A national railway or a government hospital belongs to it. Many countries have both a private sector and a public sector. (*Chapter VII*)

Regulator. An official body that makes and enforces the rules for an industry or market. It can license, inspect and punish. Example: the Bangladesh Securities and Exchange Commission, which approves offers of shares and licenses brokers. (*Chapter XV*)

Service. Work done for a customer that gives value but is not a physical thing owned afterwards, such as banking or teaching. The customer receives the work, not a thing to keep. A haircut, a doctor's visit and a bicycle repair are services. (*Chapter I*)

Share. One equal part of a company's capital, giving its holder a claim on profit and a voice in decisions. A person who holds shares is a shareholder. Example: 100 shares of Tk 100 in a company of 1,000 shares give one tenth of the company. (*Chapter IX*)

Sleeping partner. A partner who supplies capital and shares in the profit but takes no active part in running the business. A retired neighbour who invests savings in a stall, and never serves customers, is a sleeping partner. Where the law gives unlimited liability, the risk remains. (*Chapter VIII*)

Social responsibility. A business's duty to act in ways that benefit society as well as its owners. The duty includes honest dealing, safe goods and care with waste. Example: a factory that treats its waste water before returning it to a river. (*Chapter VI*)

Sole proprietorship. A business owned and run by one person, who keeps all profit and bears all losses. The owner may employ staff, but the staff own no part of it. Example: a family bookshop with one founder-owner. (*Chapter VII*)

Stakeholder. Any person or group affected by a business or able to affect it, such as staff or customers. Owners, managers and employees are internal stakeholders; customers, suppliers, lenders and the government are external stakeholders. (*Chapter V*)

State enterprise. A business owned or controlled by government, usually to provide essential goods or services. A national post service or a government-owned railway is a state enterprise. State enterprises together form the public sector. (*Chapter XI*)

Stock broker. A licensed intermediary who buys and sells shares for clients and earns a commission, which is a fee for the service. The client decides what to buy or sell. Example: with a commission of 1 per cent, a purchase of Tk 10,000 costs Tk 100 in commission. (*Chapter XV*)

Stock exchange. An organised market where shares and bonds already issued are bought and sold. It has members, fixed hours and written rules, and trades pass through stock brokers. Example: the Dhaka Stock Exchange, where listed shares are traded. (*Chapter XV*)

Subsidiary. A company controlled by another company, called the parent, which owns most of its shares. The subsidiary is a company

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What is a business, and what makes one succeed? This treatise answers from the beginning. It begins with the factors of production and the aims of enterprise, and moves through the sole proprietor, the partnership, the joint stock company, the cooperative and the state enterprise. It then follows trade across borders, from export and import procedure to the multinational corporation, with a look at the institutions that promote business in Bangladesh. Each chapter opens with a puzzle, closes with review questions, and needs no earlier knowledge.